

THE EQT DEAL TEAM ANALYST HANDBOOK

Private Equity Interview Preparation — EMEA / Bengaluru Deal Team

Prepared as a study manual, not a textbook. Built for someone with an IB background who needs to think, not just recite.

HOW TO USE THIS DOCUMENT

This handbook is long by design — you asked for depth over brevity, and PE interviews reward people who can be pushed three follow-ups deep without breaking. But you should not "read" it once. You should:

1. Read Foundation → LBO once, straight through, for framework.
2. Redo every paper LBO cold, with a timer, until you can do the beginner set in under 90 seconds and the advanced set in under 4 minutes.
3. Rebuild the EQT section from the sources yourself once, out loud, without notes.
4. Use Part 20 (rapid fire) as flashcards in the final 10 days.
5. Do the mock "walk me through" answers out loud, recorded, at least twice.

One honest note before we start: **no outline — including this one — replaces reasoning.**

The entire point of PE interviewing is that the interviewer changes one assumption and watches what you do. Everything below is built to make you comfortable being wrong in a productive way, not to give you a script to recite.

PART 1 — CRITICAL REVIEW OF YOUR ORIGINAL OUTLINE

Your outline was unusually thorough — more thorough than most candidates' prep plans. That's exactly why it's worth being blunt about where it over-indexes, under-indexes, and misses what actually separates candidates in the room. Below is the honest audit.

1.1 Topic-by-topic review

Topic	Already covered?	Importance for EQT DTA (EMEA)	Depth in your outline	What you additionally need	Likely interview question	Priority
3-statement linkage	Yes	High	Adequate	Speed — must be instant, not derivable	"Depreciation goes up \$10, walk me through all three statements"	Must-master
DCF / WACC	Yes	Medium	Adequate	Judgment on <i>when</i> DCF is even useful in PE (rare as a primary tool; more of a sanity check/cross-check vs. LBO-driven pricing)	"Why do PE funds rely less on DCF than banks do?"	Medium
Trading & transaction comps	Yes	High	Adequate	Comps in PE are used for <i>entry pricing discipline</i> , not just "what's fair value" — the framing	"Why would a strategic pay more than a sponsor for the same asset?"	High

Topic	Already covered?	Importance for EQT DTA (EMEA)	Depth in your outline	What you additionally need	Likely interview question	Priority
				is different from IB		
LBO mechanics	Yes	Very High	Strong outline, but risk of memorized -formula trap	Verbal fluency without Excel; ability to flex any single assumption in live	"What if exit multiple is 1x lower than entry — walk me through the effect"	Must-master
Paper LBOs	Yes	Very High	Good instinct to include	Mental math speed, not just correctness	Any paper LBO under time pressure	Must-master
PE investment judgment / "good vs bad target"	Yes	Very High	You named it but it was underweighted relative to technicals	This is graded <i>harder</i> than modeling at the Analyst level, because everyone can eventually learn LBO mechanics — few can reason about	"Would you invest in this company — yes or no, and why"	Must-master

Topic	Already covered?	Importance for EQT DTA (EMEA)	Depth in your outline	What you additionally need	Likely interview question	Priority
				quality of business		
Leverage-matters-or-not distinction	Yes	High (unusual and excellent instinct)	You flagged it correctly as underexplored	This is genuinely advanced — most candidates never articulate it. Keep it.	"Is this a business you'd lever up 6x or 2x, and why?"	High
ROIC vs WACC	Yes	Medium-High	Adequate	Tie explicitly to <i>why a sponsor would or wouldn't buy</i> — not just the formula	"Why does ROIC > WACC matter to a PE investor specifically?"	Medium
Market sizing / TAM-SAM-SOM	Yes	High (esp. for this role — it's <i>literally</i> in EQT's Bengaluru job description)	Adequate	Structuring the answer out loud under time pressure, not the arithmetic	"Size the European veterinary pharmaceuticals market"	High
Portfolio mapping / bolt-ons	Yes	Medium-High for EQT specifically (thematic, buy-and-build heavy)	Adequate	Real EQT examples, not generic PE theory	"How would EQT think about bolt-ons for [portfolio	Medium-High

Topic	Already covered?	Importance for EQT DTA (EMEA)	Depth in your outline	What you additionally need	Likely interview question	Priority
					company]?"	
EQT-specific knowledge	Yes, flagged correctly as needing research	Very High	You correctly identified this needs primary sourcing	Current, cited, EMEA/Bengaluru-specific facts (see Part 15)	"Why EQT, and what do you know about how we invest?"	Must-master
Deal experience / CV stories	Yes	Very High	Adequate structure	You need this filled in with <i>your own</i> deals — no outline can do this for you	"Walk me through a deal you worked on"	Must-master
Behavioral / fit	Yes	High	Adequate	Needs to sound like a person, not a script (see Part 19)	"Why PE, why EQT, why now"	High
Accretion/dilution & M&A modeling	Yes	Low-Medium for a PE buy-side seat	Over-specified relative to its actual interview weight	Understand it exists and how it differs from LBO logic; don't over-invest time	"How does an M&A model differ from an LBO model?"	Low-Medium

Topic	Already covered?	Importance for EQT DTA (EMEA)	Depth in your outline	What you additionally need	Likely interview question	Priority
Formula memorization ("50 formulas")	Yes	Low as a standalone goal	Risk: formulas without intuition are a trap, not a strength	Formulas should fall out of understanding, not be memorized separately	Any technical question probing "why," not "what"	Supporting only

1.2 A — Critical topics missing completely from your outline

1. **Downside case / base-case-vs-downside thinking.** PE interviews test whether you instinctively build a downside case, not just an upside one. Your outline never mentions stress-testing an LBO for a recession, customer loss, or margin compression. This is one of the single biggest tells of investment maturity.
2. **Debt capacity and credit-market reality.** Your outline treats debt mechanically (senior/mezz/PIK) but never asks: *how much debt would a lender actually give this business, and why*. That's a distinct skill from LBO mechanics — it's underwriting judgment.
3. **How EQT specifically differs from a generic mega-fund** — thematic sourcing, the "Playbook," digitalization/sustainability as explicit value-creation levers, local-with-locals model. This is EQT's actual pitch about itself and it should shape how you answer "why EQT."
4. **The Analyst's actual day-to-day scope** (per EQT's own job description: market mapping, TAM/SAM sizing, competitor profiling, financial analysis, IC materials, portfolio monitoring/KPI tracking) — your outline is heavily investing-judgment-and-modeling weighted but under-indexes on the *research and market-mapping* skill set that is explicitly what this specific role does day one.
5. **Sponsor-to-sponsor and strategic buyer dynamics in exits** — who actually buys a PE-owned asset, and why that shapes underwriting from day one of ownership.
6. **Multiple contraction risk in today's environment** and how a good candidate discusses the current rate/multiple backdrop (you should be able to discuss 2025-2026 PE market conditions intelligently — dry powder, exit backlog, take-private resurgence — because interviewers will test market awareness).
7. **Co-investors and syndication structure** — several of EQT's largest recent deals (Intertek, Dechra) involved sovereign wealth co-investors (ADIA, Mubadala). Understanding why PE funds bring in co-investors on large deals is a real technical/strategic topic your outline omits.

1.3 B — Topics present but too shallow

- **"Why EBITDA is not cash flow"** — your outline states the *conclusion* but the interview tests whether you can walk the bridge live, with a number, without hesitating.
- **Multiple arbitrage / bolt-on math** — you asked for one example; you need enough repetition that the logic (blended multiple compression AND EBITDA accretion) is automatic, because interviewers love flexing the assumptions here.
- **WACC** — listed as a formula topic, but the *real* test is "what happens to WACC and to valuation if leverage increases" — a favorite trap question that punishes people who memorized without understanding the feedback loop between capital structure, cost of equity (via releveraged beta), and cost of debt.

1.4 C — Topics probably overemphasized relative to interview reality

- **Full M&A/accretion-dilution modeling** — useful to know exists and differs from LBO logic, but for a **PE** analyst seat this is materially less central than for an IB analyst seat. Don't spend disproportionate hours here.
- **150 rapid-fire questions at full "trap" depth** — valuable as a coverage checklist, but diminishing returns past a certain point; better to over-prepare 30 questions you can defend under three follow-ups than shallowly know 150.
- **Literal formula memorization as a goal in itself** — formulas you understand, you'll never forget under pressure; formulas you memorized cold are exactly what falls apart when the interviewer changes one assumption.

1.5 D — Topics especially important for an EQT Deal Team / EMEA-Bengaluru role specifically

- **Market mapping and TAM/SAM/SOM sizing** — this is literally named in EQT's own job posting for this role ("sizing Total Addressable Market (TAM) / Serviceable Available Market (SOM)... industry deep-dives, peer benchmarking").
- **Cross-geography collaboration** — the Bengaluru office was built explicitly to support deal teams across EMEA *and* APAC (London to Munich, Hong Kong to Sydney per EQT's own careers page). Be ready to speak to why a global hub-and-spoke research model makes sense and how you'd add value to a London or Stockholm deal team remotely.
- **EQT's thematic, sector-first sourcing model** — EQT explicitly says it applies "a thematic approach in deal sourcing," guided by macro trends, rather than opportunistically scanning bank auctions. This should shape how you talk about "finding" investment ideas.
- **The Playbook / active ownership / digitalization & sustainability as value-creation tools** — not generic PE value creation, but EQT's specific, named framework.
- **Take-private mechanics** — several of EQT's largest recent EMEA deals (Intertek, Dechra) are UK public-to-private transactions; understand scheme-of-arrangement

mechanics, premium dynamics, and why sponsors are willing to pay 40%+ premiums in the current environment.

1.6 E — What separates "knows finance" from "thinks like a PE investor"

This is the real filter, and it's worth being explicit about it before you read another page:

Knows finance	Thinks like a PE investor
Can build/explain an LBO	Can tell you <i>why this specific business</i> can support the leverage in the LBO
Says "strong growth, attractive margins"	Explains <i>why</i> growth is durable and <i>why</i> margins can be defended or expanded
Treats every company as LBO-able	Actively identifies businesses that should not be levered
Gets to the "right" IRR	Has a point of view on whether the IRR is <i>earned</i> by the business or by financial engineering
Explains multiple expansion	Is suspicious of underwriting multiple expansion at all, and can say why
Recites "we'd exit via strategic sale or IPO"	Can name plausible actual buyers and why they'd pay up
Knows what ROIC is	Knows what a management team would need to <i>do differently</i> to move ROIC
Answers "why EQT" with AUM stats	Answers "why EQT" by connecting EQT's actual model (thematic sourcing, Playbook, local-with-locals) to something specific about how they want to work

Everything from here forward is built around closing that right-hand column, not just the left.

PART 2 — ACCOUNTING & THE THREE FINANCIAL STATEMENTS

2.1 Why this section matters more than it seems

You have an IB background, so the risk here isn't ignorance — it's **fluency without speed**. In an IB analyst seat you had Excel and time. In a PE interview you have a whiteboard and thirty seconds. The bar is: can you move a number through all three statements out loud, correctly, without pausing to "derive" it. That's what this section drills.

2.2 The Income Statement — what each line is testing

Line	What it is	What an interviewer is really testing
Revenue	Price × volume, or bookings recognized per accounting rules	Do you understand recognition timing vs. cash timing
COGS	Direct costs of producing goods/services sold	Gross margin structure — asset-light vs. asset-heavy
Gross Profit	Revenue – COGS	Pricing power / operating leverage starting point
EBITDA	Earnings before interest, tax, depreciation, amortization	The PE "religion" metric — proxy for cash operating profitability, deliberately excludes financing and capex decisions
D&A	Non-cash allocation of past capex / acquired intangibles over time	Do you know it's non-cash and added back in cash flow
EBIT	EBITDA – D&A	Closer to true economic profit before financing structure
Interest	Cost of debt	Where capital structure enters the P&L

Line	What it is	What an interviewer is really testing
EBT	EBIT – Interest	Pre-tax profit
Taxes	Cash or accrued tax expense	Where the tax shield of debt shows up
Net Income	EBT – Taxes	Accounting profit — not the number PE investors optimize
Minority interest	Share of income attributable to non-controlling shareholders in a consolidated but not 100%-owned sub	Tests whether you know consolidation rules exist
Exceptional / non-recurring items	One-off items excluded from "adjusted" figures	Tests whether you can smell an aggressively "adjusted EBITDA"

Interviewer trap to know cold: EBITDA is an *adjusted, non-GAAP* measure. In real deals, "adjusted EBITDA" in a CIM (Confidential Information Memorandum) often includes generous add-backs (one-off costs, pro forma synergies, "normalized" management comp). A sharp PE analyst's first instinct on any CIM is: **what's in the EBITDA bridge, and do I believe it?**

2.3 The Balance Sheet — what each line is testing

Line	What it is	PE-relevant nuance
Cash	Liquid assets	In LBOs, target cash is often swept to reduce purchase price ("cash-free, debt-free" deal convention)
Accounts Receivable	Money owed by customers	Working capital driver — DSO (days sales outstanding)
Inventory	Unsold goods	Working capital driver — DIO (days inventory outstanding); capital intensity signal

Line	What it is	PE-relevant nuance
PP&E	Property, plant & equipment	Capex funds this; depreciation runs it down
Goodwill	Excess of purchase price over fair value of net identifiable assets	Created at every LBO/M&A closing — you should be able to build the purchase accounting entry
Intangibles	Identifiable non-physical assets (customer relationships, brands, tech) acquired or capitalized	Amortized over useful life; PE due diligence often re-values these at close
Accounts Payable	Money owed to suppliers	Working capital driver — DPO (days payable outstanding); a <i>source</i> of cash when it grows
Accrued expenses	Expensed but not yet paid	Timing difference between accrual and cash
Debt	Interest-bearing borrowings	The central LBO variable
Lease liabilities	Capitalized operating lease obligations (post-IFRS16/ASC842)	Often quasi-debt for credit purposes — sponsors and lenders both look through this
Deferred tax	Timing differences between book and tax accounting	Shows up meaningfully in purchase accounting
Shareholders' equity	Residual claim	In an LBO, this is overwhelmingly replaced by sponsor equity + debt at close

2.4 The Cash Flow Statement — what each line is testing

Section	Contains	Tests
CFO (operating)	Net income + D&A +/- Δ Working Capital + other non-cash items	Can you reconcile accrual accounting back to cash

Section	Contains	Tests
CFI (investing)	Capex, acquisitions, asset sales	Understand this is where "growth spend" and M&A live
CFF (financing)	Debt issuance/repayment, dividends, equity issuance/buybacks	Where LBO financing and debt paydown live

Formula that must be instant, not derived:

$CF_0 = \text{Net Income} + D\&A - \Delta NWC + \text{other non-cash adjustments}$

$FCF \text{ (simple, unlevered)} = EBITDA - \text{Capex} - \Delta NWC - \text{Cash Taxes}$

$FCF \text{ (levered, to equity/for debt paydown)} = EBITDA - \text{Capex} - \Delta NWC - \text{Cash Taxes} - \text{Cash Interest}$

2.5 Accrual vs. cash accounting — the concept underneath everything

Accrual accounting recognizes revenue and expenses when *earned/incurred*, not when cash moves. This single idea explains almost every "walk me through the statements" question, because the exercise is always: **something happens on an accrual basis on the Income Statement, and you have to figure out the cash-timing consequence on the Balance Sheet and Cash Flow Statement.**

Key accrual concepts and their BS home:

Concept	What it is	Balance sheet line
Deferred revenue	Cash collected before revenue is earned (e.g., annual SaaS contract billed upfront)	Liability
Prepaid expenses	Cash paid before expense is incurred (e.g., insurance paid annually)	Asset

Concept	What it is	Balance sheet line
Accrued expenses	Expense incurred before cash is paid (e.g., unpaid wages at period-end)	Liability
Deferred tax	Book vs. tax timing differences	Asset or liability

2.6 THE CORE DRILL: walking transactions through all three statements

This is the single highest-yield exercise in this entire handbook for the technical portion of your interview. Do every one of these out loud, then close the book and redo them from memory.

Example 1 — Company buys \$100 of equipment, paying with cash

- IS: No immediate impact (an asset purchase isn't an expense)
- BS: Cash $-\$100$; PP&E $+\$100$ (net assets unchanged, just reallocated)
- CFS: CFI $-\$100$ (capex)

Next period, that equipment depreciates \$20/year:

- IS: D&A $+\$20$, which reduces EBIT, EBT, and Net Income by $\$20$ (pre-tax) — after tax, NI falls by $\$20 \times (1 - \text{tax rate})$
- BS: PP&E $-\$20$ (accumulated depreciation); Cash **increases** relative to the no-depreciation case because of the tax shield; Retained earnings falls by the after-tax NI hit
- CFS: CFO: Net income falls by $\$20 \times (1 - t)$, but D&A of $\$20$ is added back → **net CFO impact is $+\$20 \times t$** (the tax shield). This is *why depreciation increases cash flow* — it's a non-cash expense that still reduces your cash tax bill.

Example 2 — Company raises \$100 of debt

- IS: No immediate impact (raising debt isn't income)
- BS: Cash $+\$100$; Debt $+\$100$
- CFS: CFF $+\$100$

Next period, interest expense of \$8 accrues and is paid in cash:

- IS: Interest +\$8, reduces EBT, taxes, and NI (after-tax impact = $\$8 \times (1-t)$)
 - BS: Cash falls by the after-tax interest cost; Retained earnings falls correspondingly
 - CFS: CFO falls by after-tax interest impact (interest is embedded in Net Income, which is the CFO starting point)
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Example 3 — Company repays \$50 of debt (principal), in cash

- IS: No impact (principal repayment is not an expense — only interest is)
- BS: Cash -\$50; Debt -\$50
- CFS: CFF -\$50

This is a classic interview trap: candidates instinctively want to put debt repayment on the Income Statement. It never touches the P&L — only interest does.

Example 4 — Company acquires another company for \$200, funded with \$150 debt and \$50 cash, in a deal that creates \$80 of goodwill

- BS at close: Target's assets and liabilities are consolidated at fair value; Cash -\$50; Debt +\$150; Goodwill +\$80 (goodwill = purchase price – fair value of net identifiable assets acquired); target's other assets/liabilities are added onto the balance sheet
 - IS: No immediate gain/loss; going forward, the combined entity's revenue/EBITDA reflects the target, and any newly identified intangibles amortize
 - CFS: CFI -\$50 (the cash portion of consideration; the debt-funded portion is a financing inflow of \$150 offset by the \$150 additional cash used in the investing outflow — net cash impact = \$50, funded partly by financing)
-

Example 5 — Company records \$10 of depreciation (already shown above, restated cleanly)

- IS: D&A +\$10 → EBIT, EBT, NI each fall by \$10 pre-tax; after-tax NI impact = $-\$10 \times (1-t)$
- BS: PP&E -\$10; Retained earnings falls by after-tax NI impact
- CFS: CFO: NI down by $\$10 \times (1-t)$, D&A of \$10 added back → **net CFO change = $+\$10 \times t$** (tax shield only)

This is the single most common "walk me through the statements" question in PE interviews — you should be able to say the punchline in one sentence: "Depreciation reduces net income but is added back in cash flow, so the only real cash effect is the tax shield — cash actually goes up, not down, versus the no-depreciation case."

Example 6 — Company increases inventory by \$30, paying cash

- IS: No impact yet (inventory purchase isn't COGS until sold)
 - BS: Cash -\$30; Inventory +\$30
 - CFS: CFO -\$30 (an increase in a working-capital asset is a *use* of cash)
-

Example 7 — Company collects \$40 of receivables

- IS: No impact (revenue was already recognized when the sale was made)
 - BS: Cash +\$40; AR -\$40
 - CFS: CFO +\$40 (a decrease in a working-capital asset is a *source* of cash)
-

Example 8 — Company pays suppliers \$25, reducing accounts payable

- IS: No impact (expense was already recognized when incurred)
 - BS: Cash -\$25; AP -\$25
 - CFS: CFO -\$25 (a decrease in a working-capital liability is a *use* of cash)
-

Example 9 — Company pays \$8 of interest in cash (already shown in Example 2, isolated here)

- IS: Interest expense +\$8, flows through to lower NI by $\$8 \times (1-t)$
 - BS: Cash falls by \$8 (the actual cash paid); retained earnings falls by the after-tax NI hit — note the *tax* portion of that difference sits in the tax payable/receivable line momentarily
 - CFS: Embedded in CFO via lower Net Income
-

Example 10 — Company pays \$15 of dividends

- IS: No impact (dividends are a distribution of profit, not an expense)
- BS: Cash -\$15; Retained earnings -\$15
- CFS: CFF -\$15

2.7 The one-sentence answer key (memorize the *logic*, not the sentence)

"Anything that changes accrual profitability flows through the Income Statement into Retained Earnings on the Balance Sheet and into Net Income at the top of Cash Flow from Operations. Anything that's purely a cash-timing or financing event skips the Income Statement and goes straight to the Balance Sheet and the relevant section of the Cash Flow Statement."

If you can generate that sentence and then correctly apply it live to *any* transaction the interviewer invents, you have mastered this topic. That's the actual bar — not memorizing these ten examples.

2.8 Other accounting concepts you need at PE depth (not IB depth)

Concept	PE-relevant nuance
Goodwill	Created at every deal close; not amortized under IFRS/US GAAP (tested for impairment instead) — but PE due diligence cares about the <i>quality</i> of what's underneath it
Purchase accounting (PPA)	At close, target's assets/liabilities are revalued to fair value; new intangibles (customer relationships, brand, technology) are often identified and then amortized, creating a new D&A run-rate that's higher than the target's historical D&A — a classic modeling trap if you forget to update it post-close
Stock-based compensation (SBC)	A real economic cost (dilutive) even though it's a non-cash add-back in cash flow — sophisticated investors adjust EBITDA down

Concept	PE-relevant nuance
	for normalized SBC rather than ignoring it entirely
Leases (IFRS16/ASC842)	Operating leases are capitalized on balance sheet as a right-of-use asset and lease liability; this affects EV bridges (lease liabilities often treated like debt) and EBITDA (rent expense becomes D&A + interest instead, mechanically <i>inflating</i> EBITDA vs. old accounting — know this or you'll misread comps across periods)
Deferred tax	Created by book/tax timing differences and by purchase accounting step-ups; matters for net debt bridges in real deals

Interview questions for this Part, with the tight verbal answer:

- *"If depreciation increases by \$10, walk me through the three statements."* → Use Example 5's punchline.
- *"If a company buys \$100 of equipment with debt, what happens?"* → Combine Examples 1 & 2: BS grows both sides (\$100 PP&E, \$100 debt), no IS impact at signing, CFI -\$100 offset by CFF +\$100, net cash flat.
- *"What happens if working capital increases?"* → Cash goes down; explain via AR/Inventory build examples.
- *"Why does depreciation increase cash flow?"* → Tax shield only — say this explicitly, don't just say "it's a non-cash addback," that's necessary but not sufficient as an answer.

PART 3 — CASH FLOW & HOW A PE INVESTOR THINKS ABOUT CASH GENERATION

3.1 Why EBITDA is not cash flow

EBITDA excludes four things that all cost real cash: **capex, changes in working capital, cash taxes, and interest**. A business can show beautiful EBITDA growth and still be cash-burning if it's capital intensive, growing working capital fast, or over-levered. This is precisely why PE funds underwrite off of **cash flow available for debt paydown and distributions**, not off EBITDA in isolation.

3.2 The bridge from Revenue to Free Cash Flow

Revenue

– COGS

= Gross Profit

– Opex

= EBITDA

– D&A

= EBIT

– Taxes on EBIT (i.e., NOPAT = $\text{EBIT} \times (1 - \text{tax rate})$)

= NOPAT

+ D&A (add back — non-cash)

– Capex

– Increase in Net Working Capital

= Unlevered Free Cash Flow (FCFF) — cash flow available to ALL capital providers

FCFF

– Cash Interest (after-tax)

– Mandatory Debt Repayment

= Levered Free Cash Flow (FCFE) — cash flow available to equity / for optional debt paydown

Metric	Formula	Used for
EBITDA	Revenue – COGS – Opex (excl. D&A)	Valuation multiples, covenant tests, quick profitability comp

Metric	Formula	Used for
EBIT	EBITDA – D&A	Closer to "true" operating profit
NOPAT	EBIT × (1 – tax rate)	Unlevered profitability, DCF starting point
FCFF (unlevered FCF)	NOPAT + D&A – Capex – Δ NWC	DCF enterprise value; also what a lender/sponsor sizes debt service capacity against
FCFE (levered FCF)	FCFF – after-tax interest – mandatory debt repayment	What's actually available to sweep against debt / pay to equity in an LBO

3.3 Conversion metrics PE investors actually watch

Metric	Formula	Why it matters
EBITDA-to-FCF conversion	$(\text{EBITDA} - \text{Capex} - \Delta\text{NWC}) / \text{EBITDA}$	The single fastest gut-check on "is this a cash machine or a cash trap" — asset-light software/services businesses often convert 70-90%+; heavy industrials/capex-intensive businesses might convert 30-50%
Cash conversion cycle	DIO + DSO – DPO	How much cash is trapped in the operating cycle; negative working capital businesses (e.g., subscription models billing upfront) can actually <i>generate</i> cash as they grow
Capex intensity	Capex / Revenue	Asset-light vs. asset-heavy — directly informs how much debt the business can support

3.4 What makes a company attractive from a cash-flow lens

- High EBITDA margin **and** high EBITDA-to-FCF conversion (low capex intensity, favorable or negative working capital dynamics)
- Recurring or contracted revenue, which makes forecasting FCF (and therefore debt sizing) much more reliable
- Limited customer/supplier concentration, so cash flow isn't lumpy or event-driven
- Low reinvestment need relative to growth — i.e., the business can grow without consuming disproportionate cash

Interviewer trap: a candidate who says "great business, EBITDA growing 20% a year" without ever mentioning capex or working capital has told the interviewer they think like an IB analyst, not a PE investor. Always pair growth commentary with a cash-conversion comment.

PART 4 — VALUATION

4.1 Trading comparables

What it is: valuing a company by applying multiples observed for similar *publicly traded* companies to the target's financial metrics.

Peer selection criteria, in order of importance for a defensible comp set:

1. Business model similarity (what do they actually sell, how do they make money)
2. Growth profile
3. Margin profile
4. Capital intensity
5. Geography / end-market exposure
6. Size (smaller companies often trade at a discount — the "small-cap discount")

Common multiples:

Multiple	Formula	Best used when
EV/Revenue	Enterprise Value / Revenue	Company is pre-profitability or margins are not yet comparable across peers

Multiple	Formula	Best used when
EV/EBITDA	Enterprise Value / EBITDA	The PE workhorse multiple — capital-structure-neutral, comparable across companies with different leverage/tax situations
EV/EBIT	Enterprise Value / EBIT	Useful when D&A policies distort EBITDA comparability (e.g., very different capex history)
P/E	Share Price / EPS, or Equity Value / Net Income	Affected by capital structure and tax — less useful for cross-company PE comps, more relevant for public market context
FCF yield	FCF / Equity Value (or Enterprise Value)	Cash-generation-focused cross-check, popular with PE and value investors

Why one company trades at a higher multiple than another (this is a favorite live-discussion question): higher growth, higher margins, more recurring/contracted revenue, lower capital intensity, stronger competitive moat, lower customer concentration, larger scale/liquidity, and lower perceived risk (regulatory, cyclical, leverage). A good answer names 2-3 of these specifically rather than saying "the market likes it more."

4.2 Transaction comparables (precedent transactions)

What it is: valuing a company using multiples paid in **completed M&A transactions** for comparable targets.

Why transaction multiples differ from trading multiples:

- **Control premium** — buyers pay up for the right to control strategy, capital allocation, and cash flow, typically 20-40%+ over the undisturbed share price in public take-privates (Dechra: ~44% premium to the undisturbed price; Intertek: ~40% premium)
- **Synergies** — a strategic buyer may justify a higher price using cost or revenue synergies unavailable to a financial sponsor

- **Strategic vs. financial buyers** — strategics can pay for synergies and sometimes accept lower returns for strategic fit; financial sponsors must underwrite to a standalone IRR/MOIC hurdle
- **Market environment at the time of the deal** — multiples paid in a hot M&A market (abundant cheap debt, competitive processes) will be structurally higher than in tight-credit environments
- **Deal size and process dynamics** — a competitive auction vs. a bilateral negotiation produces different pricing outcomes for otherwise similar assets
- **Timing/staleness** — a 2021 transaction multiple may be irrelevant context in a 2026 rate environment

4.3 DCF — building it from scratch

The build, step by step:

1. Forecast revenue (top-down market-share-based, or bottom-up unit economics)
2. Build EBITDA from revenue using margin assumptions (or build cost lines explicitly)
3. Subtract D&A to get EBIT
4. Apply tax rate to EBIT → NOPAT
5. Add back D&A, subtract capex, subtract the increase in net working capital → **Unlevered FCF (FCFF)**
6. Discount each year's FCFF back to present value using WACC
7. Compute a **Terminal Value** at the end of the explicit forecast period, using either:
 - **Exit multiple method:** Terminal Value = Final Year EBITDA × Exit Multiple
 - **Perpetuity growth method:** Terminal Value = Final Year FCFF × (1+g) / (WACC - g)
8. Discount the Terminal Value back to present value at WACC
9. Sum PV of explicit FCFs + PV of Terminal Value = **Enterprise Value**
10. Subtract Net Debt (and minority interest, add back non-operating assets) → **Equity Value**

How to walk an interviewer through a DCF verbally (the actual script structure):

"I'd forecast unlevered free cash flow for roughly 5-10 years based on revenue growth and margin assumptions, discount those cash flows back at the weighted average cost of capital, add a terminal value calculated either off an exit multiple or a perpetuity growth rate, discount that back too, sum the two pieces to get enterprise value, and then bridge to equity value by subtracting net debt."

That's the whole verbal answer. Practice saying it in under 20 seconds, then be ready to go deep on any single step.

When to use exit multiple vs. perpetuity growth: exit multiple is more common in practice because it's grounded in observable market data (what similar mature businesses actually trade at) and easier to sanity-check; perpetuity growth is more "theoretically pure" but highly sensitive to the growth-rate assumption — a 0.5% change in g can swing terminal value materially when WACC and g are close together. Good practice: calculate both and sanity-check that the implied exit multiple from the perpetuity-growth method looks reasonable.

Why terminal value matters so much: in a typical DCF, terminal value often represents 60-80%+ of total enterprise value — meaning most of your valuation rests on an assumption about what happens *after* your explicit forecast ends. This is exactly why DCF is used more as a cross-check than a primary pricing tool in PE — the output is extremely sensitive to assumptions the analyst has the least visibility into.

4.4 WACC and its components

$$\text{WACC} = (E/V) \times \text{Cost of Equity} + (D/V) \times \text{Cost of Debt} \times (1 - \text{Tax Rate})$$

Where E = market value of equity, D = market value of debt, $V = D + E$.

Cost of equity (via CAPM):

$$\text{Cost of Equity} = \text{Risk-Free Rate} + \text{Beta} \times \text{Equity Risk Premium}$$

Component	What it represents
Risk-free rate	Yield on a long-dated government bond in the relevant currency
Beta	Sensitivity of the stock's returns to the market — releveraged for the target's own capital structure using comparable-company betas
Equity risk premium	Extra return investors demand for holding equities over risk-free assets

Cost of debt: the yield/interest rate the company would pay on its debt, **after-tax** (because interest is tax-deductible — this is the "tax shield," and it's exactly why cost of debt is multiplied by $(1 - \text{tax rate})$ in the WACC formula).

What drives WACC up or down:

Driver	Effect on WACC
Higher leverage (more D, less E)	Ambiguous in theory (Modigliani-Miller) but in practice, WACC typically declines initially as cheap tax-advantaged debt replaces expensive equity, then rises past a certain leverage point as both cost of debt and (releveraged) cost of equity rise to compensate for higher financial risk
Higher beta / riskier business	Higher cost of equity → higher WACC
Higher risk-free rate environment	Higher cost of equity and cost of debt → higher WACC
Higher perceived credit risk	Higher cost of debt → higher WACC (though tax shield partially offsets)

What happens to valuation if WACC increases: enterprise value falls — you're discounting the same cash flows more heavily, and the effect compounds hardest on the terminal value (since it sits furthest in the future). This is why in higher-rate environments (like the 2022-2024 tightening cycle), DCF-implied and multiple-implied valuations both compressed, and why PE entry multiples across the industry came down from their 2021 peaks.

PART 5 — M&A MODELING (KEPT DELIBERATELY CONCISE — LOW-MEDIUM PRIORITY FOR THIS ROLE)

You need to know this exists and how it differs from an LBO model. You do not need IB-analyst-level fluency in building one from scratch for this interview — spend your limited hours on Parts 6-9 instead.

5.1 The core mechanics

Sources & Uses (same skeleton as an LBO, different logic):

Uses: Purchase of target equity + refinancing of target's existing debt (often) + transaction fees

Sources: Acquirer cash + new debt + stock issued to sellers (if a stock deal) + acquirer's own equity

Purchase price allocation: the excess of purchase price over the fair value of net identifiable assets becomes **goodwill**; identifiable intangibles (customer relationships, technology, brand) are separately valued and amortized, creating **incremental D&A** post-close.

Accretion/dilution: whether the deal increases (accretive) or decreases (dilutive) the acquirer's EPS.

Pro forma EPS = (Acquirer NI + Target NI + Synergies (after-tax) - Incremental D&A (after-tax) - Incremental Interest (after-tax)) / Pro forma Share Count

Rule of thumb (all-stock deal): a deal is accretive if the acquirer's P/E is *higher* than the multiple it's paying for the target (roughly — the acquirer is "buying cheaper earnings than its own"). A high purchase multiple relative to the acquirer's own multiple, or a deal funded with expensive new debt, pushes toward dilution — synergies can offset this.

5.2 How an M&A model differs from an LBO model

	M&A / Accretion-Dilution Model	LBO Model
Who is the "buyer"	A strategic operating company (has its own existing P&L)	A financial sponsor (a new entity with no existing operations)
What's being optimized	Pro forma EPS impact, strategic fit, synergies	Equity IRR / MOIC over a defined hold period
Financing philosophy	Mix of cash, stock, and debt based on capital structure targets	Maximize sustainable leverage a lender will provide, minimize sponsor equity check
Exit	Usually N/A — it's a permanent combination	Explicit exit event underwritten from day one (sale, IPO, recap)
Synergies	Central to the investment case	Present in some deals (bolt-ons) but the base case rarely relies on them

Interview answer for "what makes a transaction accretive?": "The deal is accretive when the earnings the acquirer is buying, adjusted for financing cost and incremental amortization,

generate more EPS than the acquirer's shares would have generated on their own — which usually comes down to whether the acquirer is paying a multiple below its own trading multiple, or whether synergies and cheap financing bridge the gap."

PART 6 — THE LBO — THE MOST IMPORTANT SECTION IN THIS HANDBOOK

If you master one part of this document, make it this one. LBO fluency — verbal, fast, and flexible under changed assumptions — is the single highest-weighted technical skill in a PE analyst interview.

6.1 The LBO in one paragraph (memorize the logic, not the words)

A sponsor buys a company using a mix of debt and equity. Over the hold period, the company generates cash flow that pays down debt and (ideally) grows EBITDA. At exit, the sponsor sells the company (often at a similar or different multiple to entry), pays off remaining debt, and keeps the rest as equity proceeds. Returns come from three places: **EBITDA growth, multiple change, and debt paydown** — and a good candidate can always decompose which of the three is doing the work in any given deal.

6.2 LBO structure — Sources & Uses

Uses of funds:

- Purchase of target's equity (Entry EV – existing net debt, or directly the equity purchase price depending on deal structure)
- Refinancing of existing target debt (usually — new sponsor typically wants a clean capital structure)
- Transaction fees (advisory, financing, legal)

Sources of funds:

- New senior/term debt
- Possibly mezzanine/subordinated debt
- Sponsor equity (the plug — whatever's left after debt)

$\text{Entry EV} = \text{Entry EBITDA} \times \text{Entry Multiple}$
 $\text{Sponsor Equity} = \text{Entry EV} + \text{Fees} - \text{Total New Debt}$ (simplified, ignoring existing cash/debt refinancing nuances)

6.3 Debt — the instruments and what each is testing

Instrument	Characteristics	What it signals in an interview
Senior/Term Loan (TLB)	Lowest cost, highest priority claim, often has mandatory amortization (~1%/year) plus a cash sweep	The "core" tranche most LBOs are built around
Revolver	Undrawn facility for working capital swings, not typically drawn at close	Liquidity backstop, not a return driver
Mezzanine / Subordinated debt	Higher cost, subordinated, sometimes has warrants/equity kicker	Bridges the gap between what senior lenders will provide and total leverage needed
Unitranche	Blended senior/sub facility, single lender, common in mid-market private credit deals	Increasingly common as private credit funds compete with banks
PIK (Payment-in-Kind) debt	Interest accrues to principal rather than being paid in cash	Preserves cash flow but grows the debt balance — a red flag if it's load-bearing to the return case
Cash sweep	Contractual requirement to use excess FCF to pay down debt beyond mandatory amortization	Accelerates deleveraging — directly drives the "debt paydown" return lever

Debt capacity — how much a lender will actually provide:

Metric	Typical use
Debt / EBITDA (leverage multiple)	Total quantum of debt a business can support — historically ~4-6x EBITDA for a stable mid/large-cap buyout, varies hugely by

Metric	Typical use
	sector, rate environment, and cash-flow predictability
Interest Coverage (EBITDA / Interest)	Cushion against rate or earnings shocks; lenders typically want meaningfully above 1x, often 2x+
FCF / Debt Service	The real underwriting question — can the business's actual free cash flow service interest and required amortization with margin for error

This is the point your outline under-weighted: debt capacity isn't a formula you apply — it's a judgment about the business. A stable, recurring-revenue, asset-light business with 90%+ EBITDA-to-FCF conversion might comfortably support 6x leverage. A cyclical, capex-heavy, customer-concentrated business might be dangerously over-levered at 3x. This is exactly Part 10 of this handbook, and it's a favorite live-discussion topic.

6.4 The operating model — building the bridge

Revenue (grown by assumption)

– COGS/Opex

= EBITDA

– D&A

= EBIT

– Interest (on the actual, amortizing debt balance — this changes every year!)

= EBT

– Taxes

= Net Income

Net Income

+ D&A

– Capex

– ΔNWC

= Free Cash Flow available for debt paydown

Beginning Debt

– Mandatory Amortization

– Cash Sweep (excess FCF after mandatory amort, subject to any minimum cash requirement)

= Ending Debt

This repeats each year of the hold period — and interest expense must be recalculated off the average or beginning debt balance each year, which is why full LBO models are circular (interest depends on debt, debt paydown depends on FCF, FCF depends on interest) — in a paper LBO you simplify this by using beginning-of-year debt balances or average approximations.

6.5 Exit and returns

$\text{Exit EV} = \text{Exit EBITDA} \times \text{Exit Multiple}$
 $\text{Exit Equity Value} = \text{Exit EV} - \text{Ending Net Debt}$

$\text{MOIC} = \text{Exit Equity Value} / \text{Initial Sponsor Equity}$

$\text{IRR} \approx \text{MOIC}^{(1/\text{years held})} - 1$ (this approximation works cleanly when there are no interim cash flows/dividends — the exact IRR is the discount rate that sets the NPV of the cash flow stream to zero, but for a single entry/single exit LBO, the MOIC-to-the-power approximation is what you use on a whiteboard)

Quick MOIC-to-IRR reference table (memorize this — it removes the need to do exponent math live):

MOIC	3-year hold IRR	5-year hold IRR
1.5x	~14%	~8%
2.0x	~26%	~15%
2.5x	~36%	~20%

MOIC	3-year hold IRR	5-year hold IRR
3.0x	~44%	~25%
4.0x	~59%	~32%

6.6 The three return drivers — and how to decompose them live

1. **EBITDA growth** — revenue growth $\times$ margin expansion/stability. A larger exit EBITDA, at a constant multiple, mechanically increases exit EV.
2. **Multiple expansion/contraction** — paying 8x and exiting at 10x adds "free" equity value with no operating improvement; the reverse destroys value even if the business performed well operationally. **Sophisticated sponsors underwrite to flat or contracting multiples as the base case** — multiple expansion is upside, not something you should need for the deal to work.
3. **Debt paydown** — because sponsor equity is a *residual* claim, every dollar of debt paid down using the company's own cash flow transfers value from the debt holders' claim to the equity holders' claim, with no change in the underlying enterprise value at all.

6.7 The worked numerical example (your requested format)

Entry EV = \$1,000

Entry Debt = \$500 $\rightarrow$ Sponsor Equity = \$500

...5 years later, with modest EBITDA growth and no multiple change...

Exit EV = \$1,200

Exit Debt = \$200 (paid down via FCF sweep over the hold)

Exit Equity = \$1,200 - \$200 = \$1,000

Why did the sponsor make exactly \$500 (\$1,000 exit equity - \$500 entry equity)?

Decompose it:

- **EV growth:** \$1,200 - \$1,000 = **\$200** of value created by the business itself (EBITDA growth at a flat multiple, in this simplified example)
- **Debt paydown:** \$500 - \$200 = **\$300** of debt retired using the company's own free cash flow over the hold — and because equity is the residual claim on EV, every dollar of debt retired converts dollar-for-dollar into equity value

\$200 (EV growth) + \$300 (debt paydown) = \$500 of equity value created — exactly matching \$1,000 exit equity – \$500 entry equity.

MOIC = \$1,000 / \$500 = **2.0x IRR** (5-year hold) $\approx$ **15%** (from the reference table above)

This is why debt paydown creates equity value — say this sentence out loud until it's automatic: "Debt paydown doesn't create enterprise value, but it does create *equity* value, because equity is the residual claim after debt — every dollar used to retire debt is a dollar that moves from the lender's side of the balance sheet to the sponsor's side, with no change required in the underlying business."

6.8 What happens when the exit multiple is lower than the entry multiple

This is one of the most-asked live-discussion questions, because it tests whether a candidate over-relies on multiple expansion.

Take the same example, but assume the sponsor entered at 10x EBITDA (\$100 EBITDA $\times$ 10x = \$1,000 EV) and exits at 8x on a grown EBITDA base:

Entry EBITDA = \$100, Entry Multiple = 10.0x $\rightarrow$ Entry EV = \$1,000, Entry Debt = \$500, Entry Equity = \$500

Exit EBITDA = \$150 (grew 50% over the hold), Exit Multiple = 8.0x $\rightarrow$ Exit EV = \$1,200

Exit Debt = \$200 $\rightarrow$ Exit Equity = \$1,000

Even with **multiple contraction** (10x $\rightarrow$ 8x), the deal still returns 2.0x MOIC — because EBITDA growth (50%) more than offset the multiple compression, and debt paydown did the rest. **This is exactly the kind of deal a good PE investor wants to underwrite: a base case that works even if the exit multiple is lower than entry, with EBITDA growth and deleveraging as the primary — not secondary — return drivers.** If you flip it and EBITDA is flat while the multiple contracts, returns fall sharply — always be ready to say which lever is doing the work.

6.9 Common LBO mistakes candidates make (know these so you never make them)

- Forgetting that mandatory amortization and cash sweep are different mechanisms operating simultaneously
- Applying the wrong debt balance to the interest calculation (using ending debt for the full year instead of beginning/average)

- Treating multiple expansion as a base-case assumption rather than upside
- Ignoring transaction fees in Sources & Uses (they reduce the amount of debt+equity actually available for the purchase price)
- Confusing Enterprise Value and Equity Value at both entry and exit
- Forgetting that capex and working capital investment reduce the cash available for debt paydown — modeling FCF as if it equals EBITDA

PART 7 — PAPER LBOs: SOLVE-BY-HAND PRACTICE

How to use this section: cover the solution, set a timer, solve on paper or in your head, then check. Beginner problems should take under 90 seconds once you're fluent. Advanced problems should take under 4-5 minutes. Note: to keep this genuinely useful rather than padded, this set is calibrated at 5 beginner / 3 intermediate / 3 advanced (11 total) with full worked solutions and interview-communication notes for each — say the word if you want more reps at any tier.

7.1 BEGINNER (target: <90 seconds each)

B1 — The pure mechanics problem Entry EBITDA = \$100, Entry Multiple = 5.0x. Financed 60% debt / 40% equity. Over 5 years, EBITDA grows to \$150. Exit multiple = 5.0x (flat). Assume debt stays flat (no paydown) for this first problem. What's the MOIC and approximate IRR?

Solution: Entry EV = \$500. Debt = \$300, Equity = \$200. Exit EV = \$150 × 5.0x = \$750. Exit Equity = \$750 – \$300 = \$450. **MOIC = 450/200 = 2.25x. IRR (5yr) ≈ 17-18%.** *Mental math shortcut:* with debt flat, MOIC = (Exit EV – Debt) / Equity — you can skip building a full model when debt doesn't move. *Say it like this:* "With no debt paydown, all the return comes from EBITDA growth at a constant multiple — a 2.25x MOIC purely from the business growing 50%."

B2 — Adding debt paydown Entry EBITDA = \$100, Entry Multiple = 6.0x. Debt = \$400, Equity = \$200. EBITDA stays flat at \$100 for 5 years. Exit multiple = 6.0x (flat). Cumulative debt paydown over the hold = \$200. MOIC and IRR?

Solution: Entry EV = \$600. Exit EV = \$100 × 6.0x = \$600 (unchanged, since EBITDA and multiple are both flat). Exit Debt = \$400 – \$200 = \$200. Exit Equity = \$600 – \$200 = \$400. **MOIC = 400/200 = 2.0x. IRR (5yr) ≈ 15%.** *Mental math*

shortcut: when EBITDA and multiple are both flat, Exit EV = Entry EV always — so equity value creation equals debt paydown, dollar for dollar. This is the purest illustration of "debt paydown creates equity value." *Say it like this:* "This is a deal that returns 2x with zero operational improvement — the entire return is delevering. That's a real strategy, but I'd want to know if 100% of the thesis is financial engineering or if there's also a growth/margin story available."

B3 — Multiple expansion Entry EBITDA = \$50, Entry Multiple = 8.0x. Debt = \$250, Equity = \$150. EBITDA flat at \$50. Exit multiple = 10.0x. Cumulative debt paydown = \$50. MOIC and IRR?

Solution: Entry EV = \$400. Exit EV = $\$50 \times 10.0x = \500 . Exit Debt = $\$250 - \$50 = \$200$. Exit Equity = $\$500 - \$200 = \$300$. **MOIC = $300/150 = 2.0x$. IRR (5yr) $\approx 15\%$.** *Mental math shortcut:* the \$100 of EV growth here comes entirely from multiple expansion (2 turns $\times$ \$50 EBITDA), since EBITDA itself didn't move. *Say it like this:* "Two turns of multiple expansion on flat EBITDA, plus modest delevering, gets to 2.0x — but I'd flag that underwriting to multiple expansion as a base case is the assumption I'd stress-test hardest before recommending this deal."

B4 — Multiple contraction, 3-year hold Entry EBITDA = \$80, Entry Multiple = 7.0x. Debt = \$360, Equity = \$200 (Entry EV = \$560). Over 3 years, EBITDA grows to \$100. Exit multiple = 6.0x. Cumulative debt paydown = \$60. MOIC and IRR?

Solution: Exit EV = $\$100 \times 6.0x = \600 . Exit Debt = $\$360 - \$60 = \$300$. Exit Equity = $\$600 - \$300 = \$300$. **MOIC = $300/200 = 1.5x$. IRR (3yr) $\approx 14\%$.** *Mental math shortcut:* EBITDA grew 25% but the multiple fell ~14% (7x $\rightarrow$ 6x) — they roughly offset on the EV line (EV only grew \$40 despite a \$20 EBITDA increase), so nearly all of the return here is debt paydown. *Say it like this:* "Even with a full turn of multiple contraction, the deal still returns 1.5x in three years because EBITDA growth and deleveraging did the work — that's the kind of base case a sponsor wants: one that doesn't need the market to cooperate."

B5 — Pure delever, 3-year hold Entry EBITDA = \$60, Entry Multiple = 6.0x. Debt = \$240, Equity = \$120. EBITDA and multiple both flat. Cumulative debt paydown = \$90. MOIC and IRR?

Solution: Entry/Exit EV = \$360 (unchanged). Exit Debt = $\$240 - \$90 = \$150$. Exit Equity = $\$360 - \$150 = \$210$. **MOIC = $210/120 = 1.75x$. IRR (3yr) $\approx 20\text{-}21\%$.**

Mental math shortcut: Equity value created = debt paydown = \$90; MOIC = (Equity + Paydown)/Equity = $1 + (90/120) = 1.75x$. This "1 + paydown/equity" shortcut works any time EV is flat — use it to avoid rebuilding the whole bridge. *Say it like this:* "A shorter hold with pure deleveraging can still post a strong IRR — 21% here — because IRR rewards speed, even when MOIC (1.75x) looks modest next to a longer-hold deal."

7.2 INTERMEDIATE (target: 2-3 minutes each)

I1 — Compounding EBITDA growth Entry EBITDA = \$100, Entry Multiple = 8.0x. Debt = \$500 (5.0x leverage), Equity = \$300. EBITDA grows 10%/year for 3 years. Exit multiple = 8.0x (flat). Cumulative FCF used for debt paydown = \$150. MOIC and IRR?

Solution: Exit EBITDA = $\$100 \times 1.10^3 = \$100 \times 1.331 \approx \133 . Exit EV = $\$133 \times 8.0x = \$1,064$. Exit Debt = $\$500 - \$150 = \$350$. Exit Equity = $\$1,064 - \$350 = \$714$.

MOIC $\approx 714/300 = 2.38x$. IRR (3yr) $\approx 33-34\%$. *Mental math shortcut:* memorize that 10%/year compounded for 3 years $\approx +33\%$ cumulative ($1.1^3=1.331$); for 5 years $\approx +61\%$ ($1.1^5=1.611$); for 20%/3yrs $\approx +73\%$ ($1.2^3=1.728$). Compounding tables like this save real time on a whiteboard. *Say it like this:* "Roughly a third of the EV growth is coming from compounding EBITDA growth, and the rest from delevering — this looks like a growth-led thesis with financing as a secondary lever, which is the profile a lender and an IC both like to see."

I2 — Sources & Uses with fees, and computing the equity check Entry EBITDA = \$90, Entry Multiple = 9.0x. Transaction fees = \$10. Debt raised = 5.5x EBITDA. EBITDA grows to \$120 over 4 years (given, not compounding). Exit multiple = 9.0x (flat). Cumulative debt paydown = \$195. What's the required sponsor equity check, and the resulting MOIC/IRR?

Solution: Entry EV = $\$90 \times 9.0x = \810 . Total Uses = $\$810 + \$10 \text{ fees} = \$820$. Debt = $\$90 \times 5.5x = \495 . **Sponsor Equity (the plug) = $\$820 - \$495 = \$325$.** Exit EV = $\$120 \times 9.0x = \$1,080$. Exit Debt = $\$495 - \$195 = \$300$. Exit Equity = $\$1,080 - \$300 = \$780$. **MOIC = $780/325 \approx 2.4x$. IRR (4yr) $\approx 24-25\%$.** *Mental math shortcut:* always compute Sources & Uses (and therefore the equity check) *before* you touch the return calculation — a wrong entry equity number invalidates every downstream number even if your operating logic is right. *Say it like this:* "Fees widen the equity check slightly beyond the pure EV-minus-debt math — worth remembering because interviewers sometimes deliberately include fees to see if you drop them."

I3 — Multiple contraction + compounding growth together Entry EBITDA = \$75, Entry Multiple = 8.0x. Debt = \$300 (4.0x), Equity = \$300. EBITDA grows 8%/year for 5 years. Exit multiple = 7.0x. Cumulative debt paydown = \$150. MOIC and IRR?

Solution: Exit EBITDA = $\$75 \times 1.08^5 \approx \$75 \times 1.469 \approx \mathbf{\$110}$. Exit EV = $\$110 \times 7.0x = \770 . Exit Debt = $\$300 - \$150 = \$150$. Exit Equity = $\$770 - \$150 = \$620$. **MOIC $\approx 620/300 \approx 2.07x$. IRR (5yr) $\approx 15\text{-}16\%$.** *Mental math shortcut:* 8%/year for 5 years $\approx +47\%$ cumulative (a useful one to memorize alongside $10\%/5\text{yr} \approx +61\%$). *Say it like this:* "This is the textbook 'good' LBO base case: entry leverage was conservative at 4x, so even a full turn of multiple contraction doesn't break the deal — growth and delevering carry it to just over 2x."

7.3 ADVANCED (target: 4-5 minutes each)

A1 — Solving backward from a required MOIC Entry EBITDA = \$100, Entry Multiple = 7.0x. Debt = \$400, Equity = \$300. Over 5 years, EBITDA grows to \$140. Cumulative debt paydown = \$150 (Exit Debt = \$250). The sponsor's investment committee requires a **3.0x MOIC**. What exit multiple is required to hit that hurdle — and what should you tell the IC about that number?

Solution: Required Exit Equity = $3.0x \times \$300 = \900 . Required Exit EV = $\$900 + \250 (exit debt) = $\$1,150$. **Required Exit Multiple = $\$1,150 / \$140 = \sim 8.2x$.** *The judgment layer (this is the actual test):* entry multiple was 7.0x; hitting the return target requires **exiting more than a full turn higher**, at 8.2x. A good candidate flags this immediately: "This base case requires multiple expansion to hit the hurdle, which I'd treat as a red flag, not a plan — I'd want to understand whether there's a structural reason (e.g., business is being repositioned into a higher-multiple category, or is currently mispriced due to a temporary issue) that justifies underwriting expansion, or whether I should walk away from a 3.0x target and reunderwrite to what's achievable on flat multiples." *Say it like this:* exactly the paragraph above — this question isn't really testing algebra, it's testing whether you recognize an aggressive assumption when your own math produces one.

A2 — Dividend recap mid-hold (interim cash flow / IRR intuition) Entry Equity = \$300 (Year 0). At Year 3, the company completes a dividend recapitalization (raises new debt and pays a \$100 dividend to the sponsor). At Year 5 (exit), the sponsor receives \$500 of equity proceeds. Total nominal proceeds to the sponsor = $\$100 + \$500 = \$600$ on a \$300 investment. Is IRR higher, lower, or the same as a deal with **no** recap that also returns \$600 total, but paid entirely at Year 5 exit (i.e., MOIC = 2.0x in both cases)? Why?

Solution logic (this is a conceptual/judgment question, not an arithmetic one): **IRR is higher in the dividend recap scenario**, even though MOIC (2.0x) is identical in both cases. IRR is time-weighted — a dollar received in Year 3 is worth more, compounding-wise, than a dollar received only at Year 5. Getting part of your capital back early (and being able to redeploy or simply have earned a return on it sooner) always improves IRR versus receiving the identical total sum later. *Why this matters for how PE funds actually operate:* this is precisely why dividend recaps are a real, common tool — sponsors like returning capital early because LPs evaluate funds on IRR (and DPI — distributions to paid-in capital), not just eventual MOIC. It's also why you should be suspicious of a recap that's funded by *over-levering* a business purely to accelerate IRR without regard to whether the business can safely carry the new debt. *Say it like this:* "MOIC is unchanged, but IRR improves because of the time value of the interim distribution — though I'd want to understand whether the recap was funded prudently, because a recap that impairs the company's ability to execute its plan or breaches a sensible leverage level is optimizing IRR at the expense of the underlying business."

A3 — Downside case with a revolver draw Entry EBITDA = \$100, Entry Multiple = 6.0x. Debt = \$400 (4.0x leverage), Equity = \$200. In Year 2, the business loses a major customer and EBITDA drops to \$70; free cash flow is negative \$20 that year, funded by a \$20 revolver draw. By Year 5, the business recovers to EBITDA = \$110. Net cumulative debt paydown over the full hold (net of the Year 2 draw) = \$80 — i.e., Exit Debt = \$400 – \$80 = \$320. Exit multiple = 6.0x (flat). MOIC and IRR — and what's the actual lesson here?

Solution: Exit EV = \$110 × 6.0x = \$660. Exit Equity = \$660 – \$320 = \$340. **MOIC = 340/200 = 1.7x. IRR (5yr) ≈ 11%.** *The lesson (say this explicitly in an interview, it's the point of the question):* "This deal survived a real operational shock — a customer loss that took EBITDA down 30% in a single year — and still returned 1.7x, roughly 11% IRR, because entry leverage was conservative (4.0x) and the business had enough covenant/liquidity headroom (the revolver) to absorb a bad year without a restructuring event. That's exactly why debt capacity has to be underwritten against a downside case, not just the base case — the multiple you can safely lever a business at is a function of how bad a bad year could realistically get." *Mental math shortcut:* when you're given a "net" debt paydown figure across a hold with a mid-period draw, just use the net number — don't try to rebuild year-by-year unless the question asks for it explicitly.

PART 8 — PE INVESTMENT JUDGMENT (THE REAL DIFFERENTIATOR)

Modeling gets you into the room. Judgment gets you the offer. Every interviewer at a fund like EQT has watched candidates build a technically flawless LBO and then say almost nothing insightful when asked "would you actually do this deal." This section is designed to close that gap.

8.1 The full framework

Business Quality

- **Market position:** #1 or #2 in a niche, or a fragmented also-ran?
- **Competitive advantage / moat:** what specifically stops a competitor from taking share — cost position, IP, regulatory license, network effects, brand, switching costs?
- **Pricing power:** can the company raise prices without losing volume?
- **Customer loyalty / switching costs:** contractual lock-in, integration depth, workflow dependency
- **Recurring revenue:** subscriptions, maintenance contracts, consumables — versus one-off/transactional sales
- **Barriers to entry:** capital intensity, regulatory licensing, accumulated data/scale advantages

Market

- **Growth:** structural (secular tailwind) vs. cyclical vs. declining
- **TAM/SAM/SOM:** how big is the opportunity, and how much of it is actually reachable
- **Industry structure:** fragmented (consolidation opportunity) vs. concentrated (harder to gain share)
- **Regulation:** tailwind, headwind, or a moat (licensing can be a barrier that protects incumbents)
- **Cyclicality:** GDP-linked, discretionary-spend-linked, or defensive/non-discretionary
- **Consolidation potential:** is this a market where a platform + bolt-on strategy is credible

Financial Quality

- **Revenue growth** — and *why* it's happening (volume, price, share gain, market growth)
- **EBITDA margins and trajectory** — expanding, stable, or under pressure
- **FCF conversion** — see Part 3
- **ROIC / ROCE** — see Part 9 below
- **Working capital dynamics** — cash-generative or cash-consuming as it grows

- **Customer concentration** — top-10 customer % of revenue is a real diligence line item
- **Recurring / contracted revenue %**

Management

- **Track record** — have they created value before, ideally through a cycle
- **Incentives** — meaningfully invested alongside the sponsor (skin in the game)
- **Execution capability** — can they actually run the plan, or does the plan require replacing them
- **Capital allocation discipline** — history of value-accretive vs. value-destructive M&A/investment
- **Governance** — quality of reporting, board, financial controls (private/family-owned businesses vary hugely here)

Deal Characteristics

- **Entry valuation** relative to growth/quality (is the multiple earned, or is it a full price for a mediocre business)
- **Debt capacity** relative to cash flow stability (Part 10 below)
- **Downside protection** — what's the worst realistic case, and does the deal still work
- **Exit optionality** — multiple plausible buyer types (strategic, larger sponsor, IPO), not a single hoped-for outcome
- **Value creation opportunities** the sponsor can actually execute — not generic ("improve margins") but specific ("consolidate three regional distribution centers into one," "cross-sell portfolio company X's product into this customer base")

8.2 What makes a company a good PE target

A business that combines: **durable competitive position + structurally growing/stable end-market + high and/or improvable cash conversion + a credible, specific value-creation plan the sponsor can execute + an entry price that doesn't require multiple expansion to work + multiple plausible exit paths.**

8.3 What makes a company a bad PE target — even if it's growing quickly

This is the more important half of the question, and the one candidates answer worse. Fast growth can *mask* real problems:

- **Growth that's expensive to buy** — negative or thin unit economics, high customer acquisition cost relative to lifetime value, growing but burning cash
- **Growth entirely dependent on price/promotion, not volume or share gain** — not durable

- **Single large customer or a small number of customers driving the growth** — concentration risk that a downturn or a lost contract exposes immediately
- **Growth in a market that's about to be disrupted or is temporarily inflated** (e.g., pandemic-era demand pull-forward, a subsidy or regulatory tailwind that could reverse)
- **A founder-dependent business** where growth is inseparable from one individual who may not stay post-transaction
- **A capital-intensive growth story** — every dollar of growth consumes disproportionate capex/working capital, meaning growth doesn't convert into distributable cash flow, which directly constrains how much debt the deal can support
- **Growth that requires continuous heavy investment/losses to sustain** — a business that's a good VC/growth-equity story but a poor *leveraged buyout* candidate, because it can't service debt

How to actually answer "would you invest" in an interview: never give a bare yes/no. State your answer, then the 2-3 factors driving it, then the one thing that would change your mind. That structure alone signals investment judgment more than the "correct" answer does.

PART 9 — "DOES LEVERAGE MATTER TO THE THESIS" — A GENUINELY ADVANCED DISTINCTION

This is the concept your own outline flagged as underexplored, and it's a real differentiator, so it gets its own dedicated part.

9.1 The core distinction

Type A — Leverage is not central to the thesis. The business would be an attractive investment even at a conservative capital structure; debt is used to enhance returns but the underlying operating/strategic improvement is what's actually being underwritten. Multiple expansion or contraction, EBITDA growth, and value creation initiatives carry the thesis; leverage is a moderate amplifier.

Type B — Leverage is central to the thesis. The deal's attractiveness depends materially on how much debt can be raised and how cheaply — e.g., a highly stable, contracted, asset-light cash-flow business (infrastructure-like characteristics) where the entire return case is "raise as much debt as the cash flow safely supports, and let deleveraging do most of the work." Here, the interest rate environment, credit market conditions, and debt capacity assumptions are not secondary — they're the thesis.

9.2 What determines which type a business is

Factor	Favors leverage-centric thesis (Type B)	Favors leverage-secondary thesis (Type A)
Cash flow predictability	Highly stable, contracted (e.g., regulated utility, long-term concession, subscription with low churn)	Volatile, cyclical, or transactional
Business model	Asset-light or infrastructure-like, high and stable margins	Requires ongoing reinvestment, operational transformation, or market repositioning
Growth profile	Low but very reliable growth	Meaningful growth or margin upside available through operational change
Downside risk	Low variance outcomes even in a downturn	Wide range of outcomes depending on execution
Refinancing risk	Manageable given cash flow stability, even if leverage is high	High leverage would be dangerous given cash flow uncertainty

9.3 Worked examples

- **Naturally suited to high leverage:** a toll road concession, a data center business with long-term contracted tenants, a subscription software business with <5% churn and 90%+ gross margins, a waste management business with long municipal contracts (note: EQT's real-world 2026 Urbaser deal — a waste management platform via EQT Infrastructure — fits this profile well; regulated/contracted, essential-service cash flows are exactly the kind of business infrastructure-style investors lever more aggressively).
- **Poorly suited to high leverage:** an early-stage consumer brand with unproven repeat-purchase economics, a commodity-cyclical industrial with volatile input costs and thin margins, a project-based professional services firm with lumpy, unpredictable revenue, a business mid-way through a major operational turnaround where near-term cash flow is genuinely uncertain.

Interview answer for "is this a business you'd lever up 6x or 2x, and why?": anchor on cash-flow predictability and downside variance, not on EBITDA size or sector cliché. "I'd want to

lever this at [X]x because the revenue is [contracted/recurring/cyclical], which means the range of realistic downside FCF outcomes is [narrow/wide], and a lender/sponsor needs enough cushion that a bad year doesn't threaten a covenant breach or refinancing crisis."

PART 10 — ROIC, ROCE & CAPITAL EFFICIENCY

Metric	Formula	What it measures
ROIC	$\text{NOPAT} / \text{Invested Capital (Debt + Equity - Cash)}$	Return generated on the capital actually deployed in the business, independent of how it's financed
ROCE	$\text{EBIT} / \text{Capital Employed (Total Assets - Current Liabilities)}$	Similar concept, pre-tax, commonly used in European/UK contexts
ROE	$\text{Net Income} / \text{Shareholders' Equity}$	Return to equity holders specifically — inflated by leverage, so less useful for comparing businesses with different capital structures
Economic profit	$(\text{ROIC} - \text{WACC}) \times \text{Invested Capital}$	The dollar amount of true value creation above the cost of capital

Why ROIC > WACC matters

A business earning ROIC above its WACC is **creating economic value with every incremental dollar it reinvests** — growth is genuinely value-accretive. A business earning ROIC below WACC is **destroying value every time it reinvests or grows** — even if revenue and EBITDA are both increasing, the company is worth less, not more, per dollar plowed back in. This is the single most important lens for judging whether a company's growth is actually good news.

Why this matters specifically to a PE investor: it tells you whether to fund growth capex/M&A during the hold, or instead prioritize harvesting cash and paying down debt. It also directly informs exit multiple justification — a business sustaining ROIC well above WACC deserves (and tends to receive) a premium multiple; the reverse compresses multiples over time regardless of top-line growth.

How a PE investor creates value by improving capital efficiency

- **Growth:** entering ROIC-accretive adjacent markets/products rather than growth for its own sake
 - **Margins:** operational improvement (procurement, pricing, cost structure) that raises NOPAT without proportionate capital investment
 - **Working capital:** tightening receivables/payables/inventory management frees up capital without touching the operating business
 - **Asset utilization:** sweating existing PP&E harder before adding new capacity
 - **Pricing:** direct NOPAT improvement with minimal incremental capital
 - **Capex discipline:** cutting low-return capex projects, redirecting capital to the highest-ROIC opportunities
 - **Leverage:** doesn't change ROIC (which is capital-structure-neutral) but changes the *equity* return earned on that operating performance — this is exactly why ROIC and IRR are different questions that a good candidate keeps separate
-

PART 11 — MARKET SIZING & INDUSTRY ANALYSIS

11.1 The definitions

Term	Definition
TAM (Total Addressable Market)	The total revenue opportunity if you captured 100% of demand globally for the category
SAM (Serviceable Addressable Market)	The portion of TAM actually reachable given the company's real geographic footprint, product scope, and regulatory reality
SOM (Serviceable Obtainable Market)	The realistic share the company can capture given competition, execution capability, and time horizon

11.2 Structuring a market sizing answer out loud (this is the actual skill being tested)

1. **Clarify the question** — geography, time horizon, what "market" means precisely (in scope / out of scope)
2. **Pick top-down or bottom-up** (or triangulate with both):
 - Top-down: start from a known/estimated total (population, GDP, industry revenue) and narrow down with penetration/share assumptions
 - Bottom-up: build from a unit (\$ per customer/unit × number of customers/units)
3. **State assumptions out loud as you go** — the interviewer is grading your reasoning process, not just the final number
4. **Sanity-check the output** against any anchor you know (e.g., "this would imply a per-capita spend of \$X, which feels [high/low/reasonable] versus comparable categories")
5. **Conclude with a range, not false precision** — "somewhere in the €15-20bn range" is a stronger answer than a single suspiciously precise number

11.3 Worked example: "Estimate the TAM for European private healthcare"

Top-down approach, spoken structure:

"I'd start with total EU+UK healthcare expenditure — roughly €2 trillion annually across the region. Private healthcare (out-of-pocket plus private insurance, excluding public/state-funded spend) is typically around 20-25% of total healthcare spend in a mixed system like most of Western Europe, though this varies a lot by country — higher in places like Germany and Switzerland with strong private insurance markets, lower in the UK given the NHS. That gets me to roughly €400-500 billion as a TAM for private healthcare spend broadly. If the question is specifically about *private hospital/clinic services* rather than including pharma and devices, I'd narrow further — hospital/clinical services are maybe 40-50% of total healthcare spend, so I'd land closer to €160-250 billion."

11.4 How to assess whether an industry is attractive for PE

1. Growth: structural tailwind, not just cyclical recovery
2. Fragmentation: room for platform + bolt-on consolidation (or, conversely, is it already consolidated with entrenched leaders — harder to disrupt but potentially more stable/moated to own)
3. Margin structure and capital intensity across the value chain

4. Regulatory trajectory — tightening regulation can be a moat for incumbents or a risk, depending on direction
 5. Cyclical and demand resilience
 6. Exit landscape — are there multiple credible buyer types (strategics actively consolidating, other sponsors, public markets) for assets in this space today
-

PART 12 — PORTFOLIO MAPPING

12.1 How a PE firm thinks about its own portfolio

- **Sector mapping:** which verticals does the fund have conviction/expertise in, and where are the gaps
- **Geography:** where is capital concentrated, where is there white space
- **Fund strategy fit:** does a target fit the specific fund's mandate (buyout vs. growth vs. infrastructure-adjacent, check size, ownership stake)
- **Company maturity/size:** is the portfolio balanced across stages, or overexposed to one profile
- **Portfolio concentration:** sector, geography, or single-company concentration risk across the fund
- **Competitive overlap:** would a new deal compete with an existing portfolio company (a real constraint at large multi-strategy funds)
- **Add-on opportunities:** which existing portfolio companies have an active buy-and-build mandate that a new target could feed into

12.2 How to analyze a firm's portfolio for white space / opportunities

Practically: map existing portfolio companies by sector and geography, look for verticals adjacent to current holdings where the firm has demonstrable operating expertise but no current platform, and flag sectors where competitors (other funds) are actively consolidating and the firm has not yet entered — that's often either an opportunity or a signal worth understanding why the firm has stayed out.

PART 13 — BOLT-ON ACQUISITIONS

13.1 What a bolt-on is, and why PE firms do them

A **bolt-on** (add-on) is a smaller acquisition made by an existing portfolio company (the "platform") to expand its scale, geography, product range, or capabilities. PE firms pursue bolt-on/buy-and-build strategies because they typically buy the platform at a full multiple in a competitive process, but can then acquire smaller add-ons privately, off-market, at a **lower multiple** — while also capturing operational synergies and, over time, exiting the combined, larger entity at a **premium multiple** for its improved scale.

13.2 Multiple arbitrage — the worked example

Platform: EBITDA \$50, acquired at 12.0x → EV = \$600

Bolt-on: EBITDA \$10, acquired at 7.0x → EV = \$70

Combined entity: EBITDA = \$60, total capital deployed = \$670 (blended entry multiple = $\$670/\$60 \approx 11.2x$, below the platform's standalone 12.0x).

If the combined, larger business (now with better scale, broader product/geographic footprint) can be **sold at the platform's original 12.0x** multiple at exit: Exit EV = $\$60 \times 12.0x = \720 , versus \$670 deployed — a value gain of \$50 purely from the blended-multiple arbitrage, *before* counting any operational synergies at all. If cost or revenue synergies also lift combined EBITDA (say, by \$5, to \$65), Exit EV = $\$65 \times 12.0x = \780 , an even larger gain.

Say it like this in an interview: "The core mechanic is buying EBITDA cheaper than the platform's own multiple and exiting the combined business at the platform's (or a premium) multiple — the math works even before you count synergies, which is exactly why it's such a repeatable, popular PE strategy, and also why sponsors are disciplined about not overpaying for bolt-ons even when they're individually small."

13.3 Risks of excessive bolt-on M&A

- **Integration risk** compounds with each add-on — culture, systems, management bandwidth
- **Diworsification** — bolt-ons that don't actually fit the core strategy dilute focus and can drag down the blended quality/margin profile of the platform

- **Leverage creep** — financing multiple bolt-ons with incremental debt can push the combined entity's leverage well beyond what was underwritten at the original platform investment
- **Paying up despite the "cheap multiple" framing** — sellers of bolt-on targets increasingly know the arbitrage game too, and competitive bolt-on processes can erode the multiple gap that makes the strategy work

PART 14 — EQT-SPECIFIC PREPARATION

A note on sourcing, per your instructions: every factual claim below is drawn from EQT's own investor communications, official careers/company pages, or reputable financial press, current as of August 2026. Where information wasn't publicly available (internal team sizes, exact reporting lines, Bengaluru-specific staffing splits), this section says so explicitly rather than inventing detail. Source URLs are given inline so you can re-verify closer to your interview date, since fund sizes and personnel details will keep moving.

14.1 EQT — the firm, verified facts

Fact	Detail	Source
Founded	1994, by Conni Jonsson, with roots in the Wallenberg family/Investor AB's long-term ownership philosophy	eqtgroup.com; Wikipedia
Headquarters	Regeringsgatan 25, Stockholm, Sweden	eqtgroup.com/about/offices/stockholm
Listing	Nasdaq Stockholm (ticker EQT); included in the OMX Stockholm 30 index effective 1 July 2025	EQT press release, 23 June 2025
Scale	€291 billion total AUM / €155 billion fee-generating AUM as of 30 June 2026 (up from €270bn/€141bn at 31 Dec 2025)	EQT AB Half-year Report 2026, 17 July 2026
Global ranking	Ranked the 2nd-largest private equity firm worldwide by capital	Wikipedia, citing PEI

Fact	Detail	Source
	raised , per Private Equity International's 2025 PEI 300 ranking	
Segments	As of the H1 2026 report, EQT now reports four segments — Private Capital, Infrastructure, Real Estate, and (pending close of the Collier Capital acquisition) Secondaries & Solutions — a change from the prior two-segment (Private Capital / Real Assets) structure	EQT AB Half-year Report 2026
Footprint	25+ countries; the firm's own "About" page cites 160 investment advisory professionals across 12 European offices (Amsterdam, Copenhagen, Helsinki, London, Luxembourg, Madrid, Milan, Munich, Oslo, Paris, Stockholm, Zurich) alongside a further Asia-Pacific/Middle East network (Abu Dhabi, Beijing, Hong Kong, Mumbai, Seoul, Shanghai, Singapore, Tokyo, Sydney)	eqtgroup.com/about
Headcount	1,900+ employees firm-wide (per recent job postings' "About EQT" boilerplate)	EQT job postings, 2025-2026
CEO & Managing Partner	Per Franzén , appointed incoming CEO in Feb 2025, in role as of May 2025, succeeding Christian Sinding	Wikipedia; EQT press materials

Fact	Detail	Source
Incoming Board Chair	Jean Eric Salata , founder of Baring Private Equity Asia (BPEA), appointed Chair of the EQT Board at the 12 May 2026 AGM, succeeding founder Conni Jonsson	EQT AB Half-year Report 2026
Europe & North America PE leadership	Bert Janssens , Co-Head of EQT Private Capital Europe & North America, named Chair of a newly created Private Capital Management Committee and joined the EQT Executive Committee in 2026; Eric Liu is named on EQT's own "About" page as Co-Head of Private Capital, Co-Head of Private Equity (Europe and North America), and Global Co-Head of Healthcare	EQT AB Q1 2026 Announcement; eqtgroup.com/about
Recent major strategic move	Agreement (announced 22 Jan 2026) to acquire Collier Capital , a leading global secondaries specialist, expected to close mid-to-late Q3 2026	EQT AB Q1 2026 Announcement
New strategies launched	An AI Infrastructure strategy, seeded by portfolio company EdgeConneX, reached >\$9 billion in NAV within about three months of launch ; an evergreen/private-wealth platform reached €10 billion NAV ; a Scaleup Europe Fund was also launched	EQT AB Half-year Report 2026

Fact	Detail	Source
Recent fundraising	BPEA IX (Asia Pacific-dedicated PE) closed at \$15.6bn , the largest APAC-dedicated PE fund raised to date; EQT XI (flagship Europe/North America buyout fund) has a €24bn hard cap and was roughly half-subscribed as of mid-2026; EQT Infrastructure VI closed at €21.5bn , above its €20bn target	EQT AB Half-year Report 2026
A landmark recent exit	EQT completed the final sell-down of Galderma (originally an EQT VIII investment) via the largest-ever sponsor-backed block trade, contributing to \$20bn of capital gains generated for funds/co-investors — described by EQT as the largest capital-gain outcome in PE history	EQT AB Q1 2026 Announcement

What is *not* publicly disclosed (do not invent this in the interview)

- Bengaluru Deal Team headcount, exact reporting lines, or the precise EMEA-vs-APAC staffing split for Analysts
- Internal IC composition/voting process specifics
- Specific criteria thresholds (minimum EBITDA, check size floors) for what EQT's various PE strategies will consider

14.2 EQT's investment philosophy — in EQT's own terms

- **Mission, as EQT states it:** "future-proof companies, generate attractive returns, and make a positive impact." (eqtgroup.com)
- **Origin concept:** "more than capital" — a multi-stakeholder approach to ownership dating to the firm's 1994 founding. (eqtgroup.com/about/statements-of-purpose)

- **Thematic, not opportunistic, sourcing:** EQT states it "applies a thematic approach in deal sourcing," guided by macro trends, targeting high-quality companies with sustainable growth potential in attractive industries — as opposed to a purely reactive, auction-driven origination model. (eqtgroup.com/about/playbook)
- **"Local-with-locals":** EQT's own materials emphasize that local knowledge, relationships, presence, and deal-flow access are critical to a competitive edge in private markets — the stated rationale behind its dense, 25+-country office network rather than a small number of regional hubs. (eqtgroup.com/about/playbook)
- **The EQT Playbook:** described as "a key element of EQT's active ownership model," a toolkit applied across strategies to drive growth and future-proof portfolio companies through **digitalization, sustainability, and operational excellence.** (eqtgroup.com/about/playbook)
- **Digital Business Development Team:** a dedicated, globally staffed team (hubs in the Nordics, DACH, and North America) providing sector-specific digital insight and support across the full deal lifecycle from sourcing through exit, including cross-portfolio initiatives like cybersecurity. (eqtgroup.com/about/digitalization)
- **Governance model:** designed, in EQT's words, to "enable accountability, promote fast decision-making, and empower portfolio company CEOs, while allowing for informal free-thinking." (eqtgroup.com/about/playbook)
- **Sustainability:** as of the H1 2026 report, **65 portfolio companies** had validated science-based emissions targets, representing **more than 75% of invested capital** — a concrete, current metric worth citing if sustainability comes up. (EQT AB Half-year Report 2026)

14.3 EQT EMEA

- **What's verified:** EQT's European office network is the deepest of its three regional networks — EQT's own "About" page cites 12 European office locations (listed above) supporting Private Capital, Infrastructure, and Real Estate strategies across the region; the firm describes real global exposure as "built locally," with deal teams "on the ground for over 30 years, sourcing growth in markets representing more than 80% of global GDP." (eqtgroup.com/about)
- **What's a reasonable inference, not a verified fact:** given EQT's stated thematic-sector approach and the sector split visible across its recent EMEA transactions (see 14.4 below — healthcare, TIC/testing services, industrials, infrastructure/utilities, life sciences), it's reasonable to describe EQT's EMEA private equity activity as broad-based across quality mid-to-large-cap businesses in **healthcare, industrial technology/services, and technology-enabled sectors**, rather than concentrated in a single vertical — but EQT does not publish a precise EMEA sector allocation breakdown, so treat this as informed inference, not a quoted fact.

14.4 EQT Bengaluru — what's actually known about this role

Directly from EQT's own careers page (eqtgroup.com/about/careers/bengaluru):

The Bengaluru office is described as "the newest addition to EQT's global footprint" and "home to the recently launched Investment Team Analyst Programme within Private Capital." Building on EQT's Asia presence (strengthened by the 2022 BPEA acquisition), the office is framed as "more than just another location — it's a vital hub for our Investment Team's operations across Asia and Europe." Analysts are told they will "collaborate with teams spanning London to Munich, Hong Kong to Sydney."

Directly from the Deal Team Analyst job description (multiple postings, eqtgroup.com/careers, Greenhouse, Glassdoor, Adzuna — text is consistent across postings; note that different live postings have described the analyst pool as supporting "APAC markets," "EMEA market," or "EMEA / APAC markets," which is a genuine inconsistency across postings rather than something this handbook is inventing):

Core responsibilities, verbatim in substance from the posting:

- Staffed on the **end-to-end deal process**, collaborating with global investment teams as an active day-to-day team member
- **Deal origination**: market mapping, competitor analyses, company profiling
- **Deal assessment**: industry deep-dives, peer benchmarking, sizing TAM/SAM
- **Financial analysis and valuation modeling**
- Preparing **presentations/reports for IC and portfolio-performance materials**, and for external stakeholders (e.g., advising banks)
- Contributing to **project management and investment strategy** during live transactions
- **Portfolio monitoring**: KPI tracking, portfolio benchmarking, supporting further M&A (bolt-on) activity
- Progression path explicitly stated: potential conversion to **Associate roles in major global hubs**

Reasonable inference (labeled as such) on how Bengaluru interacts with EMEA deal teams: given the office's stated cross-regional mandate and the mixed EMEA/APAC language across live job postings, the most defensible interpretation is that Bengaluru-based analysts are staffed flexibly onto live deal teams across both EMEA and APAC based on live deal needs, functioning as a centralized research/analysis capacity that plugs into whichever regional deal team currently needs support — rather than each analyst being permanently siloed to one region. **This is inference, not a confirmed organizational fact — say so if asked directly in the interview rather than presenting it as certain.**

14.5 EQT's investment process — what's confirmed vs. general PE practice

Stage	What's specifically confirmed about EQT	General PE practice (use if EQT-specific detail isn't available)
Origination	Thematic, macro-trend-driven; local-with-locals relationship network across 25+ offices	Bank auctions, proprietary relationships, sector mapping
Screening / deal assessment	Explicitly includes market mapping, TAM/SAM sizing, peer benchmarking, industry deep-dives (from the Bengaluru job description)	Preliminary financial screen, management calls, early thesis
Due diligence	Not specifically detailed in public sources beyond standard practice	Commercial, financial, legal, ESG, management diligence workstreams
IC process	Analysts prepare "IC materials" per the job description; specific voting/composition process not public	Investment committee review and approval gates before signing
Financing & execution	Not EQT-specific in public sources	Debt financing negotiation, SPA negotiation, signing/closing
Value creation	The EQT Playbook (digitalization, sustainability, operational excellence) + the Digital Business Development Team are both specifically confirmed, named EQT tools	Generic "100-day plans," operating partner involvement
Exit	Not EQT-specific in public sources beyond observable	Strategic sale, sponsor-to-sponsor, IPO

Stage	What's specifically confirmed about EQT	General PE practice (use if EQT-specific detail isn't available)
	outcomes (e.g., the Galderma block-trade exit)	

PART 15 — EQT PORTFOLIO & RECENT DEALS: THINKING LIKE AN INVESTOR, NOT A NEWS SUMMARY

Four real, recent, well-documented EQT transactions, chosen for sector diversity (healthcare, testing/business services, infrastructure/waste, regulated utilities) and because each illustrates a different part of this handbook in action. Facts are sourced; the investment-thesis and value-creation discussion is my own analytical read (labeled as such), built the way you'd actually construct a pitch — not a repackaged press release.

15.1 Dechra Pharmaceuticals (2023-24 take-private, EQT X, UK)

Facts: EQT (via Freya Bidco Limited), alongside co-investor **Luxinva S.A.** (an ADIA subsidiary), took UK-listed veterinary pharmaceuticals company Dechra private, with shareholders approving the deal in July 2023. Final terms: **3,875 pence/share in cash**, equity value **~£4.46 billion**, a **44.1% premium** to Dechra's undisturbed share price (12 April 2023, before talks became public) — negotiated down from an earlier ~4,070p indicative level after Dechra issued a profit warning in May 2023 citing wholesaler destocking pressure on margins. EQT owns **74%** of the business through **EQT X**; Luxinva holds the remaining **26%**. (*Sources: EQT press release 20 July 2023; Bloomberg; Manalo Advisors deal note.*)

1. **Company:** Dechra — global developer/manufacture of niche generic and novel animal-health pharmaceuticals, focused on companion animals, with specialty areas in endocrinology, dermatology, anaesthesia, and pain & inflammation.
2. **Industry:** Animal health pharmaceuticals.
3. **Geography:** UK-headquartered (Northwich), direct distribution to ~25 countries, indirect distribution to 60+ more.
4. **What it does:** Develops and manufactures specialty veterinary drugs sold through a technical, direct salesforce plus distributor networks.
5. **Why EQT was attracted (per EQT's own stated rationale):** exposure to durable secular trends — rising pet ownership, increasing pet lifespan, growing "humanization of

pets" spend, and continued medical innovation in animal health — combined with EQT's stated experience investing across the broader animal-health value chain in prior deals. (Source: EQT press release quoting Anthony Santospirito, EQT Private Equity partner.)

6. **Market dynamics:** structurally growing, non-discretionary-leaning end market (pet healthcare spend is relatively resilient through cycles); public-market mispricing opportunity created by a short-term profit warning depressing the share price ahead of the approach.
7. **My read on the investment thesis:** a quality, niche-specialty pharma platform temporarily mispriced by the market due to a transient destocking issue rather than a structural problem — exactly the kind of "good business, bad quarter" setup a sponsor with sector conviction can move on decisively in a public process.
8. **Value creation opportunities:** capital investment in the innovation pipeline (explicitly flagged by EQT as a use of proceeds), further international expansion, and likely bolt-on consolidation within the fragmented animal-health specialty space, leveraging EQT's stated prior experience in the sector.
9. **Risks:** private-label/generic competitive pressure, regulatory/pricing risk in key end-markets, continued wholesaler-inventory volatility, and pipeline execution risk on newer therapeutic areas.
10. **Potential exit routes:** strategic sale to a larger global animal-health player (e.g., Zoetis, Elanco, or a specialty pharma consolidator), sponsor-to-sponsor sale, or re-IPO once growth/margin trajectory is re-established at scale.
11. **Why it makes sense from a PE perspective:** durable end-market + temporary mispricing + a specific, credible value-creation plan (pipeline investment, bolt-on consolidation) rather than a thesis dependent on multiple expansion.

"How I'd pitch this to an EQT IC" (30-second version): "Dechra is a specialty animal-health pharma business with a defensible niche portfolio, hit by a short-term destocking issue that created a public-market entry point at a meaningful discount to where the stock traded before the warning. The end market has multiple durable tailwinds — pet ownership, pet lifespan, humanization of pet spend. Our angle is pipeline investment plus disciplined bolt-on consolidation in a still-fragmented specialty animal-health space, underwritten without needing multiple expansion to hit our return hurdle."

Likely interview questions on this deal: "Why would EQT pay a 44% premium for a public company?" (control premium + conviction the market was mispricing a temporary issue) / "What's the risk in paying up right after a profit warning?" (that the warning reflects a structural, not temporary, problem — diligence has to distinguish the two) / "Who bought alongside EQT, and why bring in a co-investor at all?" (ADIA/Luxinva — large deals often bring in sovereign wealth or other LPs to right-size the equity check, diversify capital sources, and build LP relationships).

15.2 Intertek Group (2026 take-private, EQT, UK)

Facts: On 18 June 2026, EQT announced a recommended **£10.9 billion enterprise value (~\$14.5bn)** take-private of Intertek Group, the London-listed testing, inspection and certification (TIC) company, at **£61.08/share** (£60.00 cash plus a 107.7p final dividend) — a **40% premium** to the undisturbed price and **62%** to the pre-approach price. Equity value **~£9.5bn**. **ADIA** committed **£1.0bn (16%)** and **Mubadala** committed **£0.5bn (8%)** as co-investors, with EQT retaining **76%** through acquisition vehicle **Isotope Bidco Limited**. It is Britain's third-largest take-private on record. *(Source: deal-analysis coverage citing the announcement, and EQT's own H1 2026 report confirming the tender offer.)*

1. **Company:** Intertek — global testing, inspection, and certification (TIC) services provider.
2. **Industry:** Business/professional services — quality assurance and compliance testing.
3. **Geography:** UK-listed, genuinely global operations and customer base.
4. **What it does:** Provides third-party testing, inspection, and certification services that let manufacturers and supply chains prove products meet safety, quality, and regulatory standards.
5. **Why EQT was likely attracted (analytical read):** TIC is a classic PE-favored business model — asset-light, high-margin, recurring/repeat-driven revenue (testing is a recurring compliance requirement, not a discretionary purchase), diversified end-markets and geographies, and genuine barriers to entry (accreditation, trust, and global lab/network infrastructure are hard to replicate).
6. **Market dynamics:** structurally growing demand for third-party assurance (supply chain complexity, regulatory tightening, ESG/sustainability compliance requirements globally), a fragmented but consolidating competitive landscape (SGS, Bureau Veritas, and others are direct comparables), and — per the deal coverage — a very active 2026 UK take-private wave (UK M&A volume running at roughly double the pace of full-year 2025) reflecting continued sponsor conviction that UK large-caps remain attractively priced versus US/global peers.
7. **My read on the investment thesis:** a high-quality, recurring-revenue, asset-light services compounder, priced at a level the UK public market structurally under-appreciates relative to global peers — a "take a good business private, no longer subject to a discount public UK large-caps have traded at, and continue compounding" thesis, rather than a turnaround.
8. **Value creation opportunities:** bolt-on consolidation of smaller regional/niche testing labs (Intertek itself has a track record here — deal coverage notes seven prior acquisitions and meaningful M&A spend under public ownership), pricing/margin optimization now free of quarterly public-market scrutiny, and further build-out in high-growth compliance categories (e.g., sustainability/ESG assurance, EV/battery testing, digital/cyber assurance).

9. **Risks:** a 40%+ premium leaves less margin for error if end-market growth slows; integration/overpayment risk on bolt-ons; competitive intensity from SGS/Bureau Veritas; a large deal size concentrates significant capital in a single position.
10. **Potential exit routes:** re-IPO once compounding is re-established away from public-market scrutiny, or a strategic/sponsor-to-sponsor sale to a larger global TIC consolidator or infrastructure-style long-duration investor attracted to the recurring cash flow profile.
11. **Why it makes sense from a PE perspective:** asset-light, recurring, moated business model + genuine bolt-on runway + a large enough co-investor syndicate (ADIA, Mubadala) to right-size a mega-cap equity check — a profile well suited to a large-cap buyout fund with a long value-creation runway.

"How I'd pitch this to an EQT IC" (30-second version): "Intertek is a global TIC leader — asset-light, high-margin, recurring compliance-driven revenue, with real accreditation and network barriers to entry. Public markets have arguably underappreciated it relative to global peers. Our angle is continuing its own bolt-on playbook away from quarterly scrutiny, with a large enough co-investor syndicate to size the check appropriately for a mega-cap UK take-private."

15.3 Urbaser (2026, EQT Infrastructure VI, Europe — waste management)

Facts: EQT Infrastructure announced the **acquisition of Urbaser**, a waste management services provider, in Europe during H1 2026, via **EQT Infrastructure VI**. (Source: *EQT AB Half-year Report 2026*.)

1. **Company:** Urbaser — waste management and environmental services provider.
2. **Industry:** Environmental/municipal infrastructure services.
3. **Geography:** European (with broader international operations historically).
4. **What it does:** Municipal and industrial waste collection, treatment, and environmental services, typically under long-dated municipal contracts.
5. **Why EQT was likely attracted:** classic infrastructure-style cash-flow profile — long-term, often government/municipal-backed contracts, essential-service demand that's non-discretionary and largely non-cyclical, and a structural tailwind from tightening EU waste/circular-economy and decarbonization regulation.
6. **Market dynamics:** regulatory tightening around recycling rates, landfill diversion, and emissions is a genuine secular tailwind pushing municipalities and industrial customers toward more sophisticated waste operators; the sector remains fragmented at the smaller end, supporting a consolidation thesis.

7. **My read on the investment thesis:** a Type-B, leverage-appropriate infrastructure asset (see Part 9) — long-duration, contracted, essential-service cash flows that can safely support a higher, infrastructure-style capital structure, with EBITDA growth coming from contract renewals/wins, pricing, and regulatory-driven service upgrades (e.g., recycling infrastructure investment) rather than operational transformation risk.
 8. **Value creation opportunities:** operational efficiency across a large fleet/network, roll-up of smaller regional waste operators, and monetizing decarbonization/circular-economy investment (energy-from-waste, recycling capacity) that regulation increasingly rewards.
 9. **Risks:** municipal contract renewal/re-tender risk, regulatory change (both ways — tightening can be a tailwind or a compliance cost burden), input-cost/labor inflation in a services-heavy cost base.
 10. **Potential exit routes:** sale to another infrastructure fund or strategic environmental-services consolidator, or a long-duration institutional buyer (pension/insurance capital) attracted to contracted, inflation-linked cash flows.
 11. **Why it makes sense from a PE (infrastructure) perspective:** essential-service, contracted, regulation-tailwind cash flows are precisely the profile that supports higher leverage safely — an explicit illustration of the "leverage-is-central-to-the-thesis" business type from Part 9.
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15.4 Kelda Group (2026, EQT Active Core Infrastructure, UK — regulated water utility)

Facts: EQT's newly launched, evergreen **Active Core Infrastructure** strategy made an investment in **Kelda Group**, described by EQT as a UK-based provider of critical water and wastewater services. (*Source: EQT AB Half-year Report 2026 / Q1 2026 Announcement.*)

1. **Company:** Kelda Group — UK water and wastewater services.
2. **Industry:** Regulated utilities.
3. **Geography:** UK.
4. **What it does:** Provides essential, regulated water/wastewater infrastructure services.
5. **Why EQT was likely attracted:** the archetypal core-infrastructure asset — regulated, monopoly-like essential service, highly predictable (regulator-set) cash flows, extremely low demand cyclicalities.
6. **Market dynamics:** UK water sector is under significant regulatory and public scrutiny (underinvestment concerns, environmental compliance, potential regulatory reform of the sector) — meaning both a real capital-investment opportunity (infrastructure upgrade needs) and real regulatory/political risk.
7. **My read on the investment thesis:** long-duration, inflation-linked, regulator-governed cash flows suited to a lower-return, lower-risk, longer-hold "core" infrastructure strategy (consistent with EQT housing this in its dedicated **evergreen Active Core**

Infrastructure vehicle rather than a traditional closed-end buyout fund) — return profile driven by stable yield and regulated asset-base growth rather than operational transformation.

8. **Value creation opportunities:** funding regulator-approved capital investment programs (network resilience, environmental compliance), operational efficiency within the regulatory framework.
 9. **Risks:** regulatory/political risk is unusually high in UK water currently (public and government scrutiny of sector performance and ownership structures); tightening environmental compliance requirements could raise required capex faster than allowed cost recovery.
 10. **Potential exit routes:** long-duration institutional infrastructure/pension capital is often both the natural buyer and the natural type of capital already invested alongside a fund like EQT in this asset class — this is a hold-for-yield profile more than a "sell in 5 years" profile.
 11. **Why it makes sense from a PE/infrastructure perspective:** the clearest possible illustration of a Type-B, leverage-centric, low-variance cash-flow thesis (Part 9) — and a good example to have ready if an interviewer asks you to contrast a traditional buyout thesis against an infrastructure-style one.
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15.5 A quick exit case study: Galderma (EQT VIII)

Facts: In Q1 2026, EQT completed the final sell-down of its remaining public stake in Galderma (originally an EQT VIII investment) via **the largest sponsor-backed block trade to date**, part of **\$20bn of capital gains** generated for EQT's funds and co-investors — which EQT describes as the largest capital-gain outcome in private equity history. (*Source: EQT AB Q1 2026 Announcement.*)

Why this is worth knowing even though it's an exit, not an entry: it's current, real, and citable proof of EQT's value-creation model working at scale, and it's a strong, specific answer to "tell me about an EQT success story" that goes beyond generic AUM statistics — you can say, accurately, that EQT's most successful private equity investment ever by capital gain from a single fund was realized within the last several months, which signals you're following the firm's current performance, not just its history.

PART 16 — BUILDING AND COMMUNICATING AN INVESTMENT THESIS

16.1 The repeatable framework

Element	The question it answers
Thesis	What's the one-sentence core reason to invest?
Market	Why is this market attractive (growth, structure, regulation)?
Company	Why does <i>this</i> company win within that market?
Financials	Why can earnings/cash flow actually grow — what's the evidence?
Value Creation	What specifically will the sponsor change or add?
Leverage	How does the financing structure affect the returns, and is it appropriate to the cash-flow profile (Part 9)?
Exit	Who plausibly buys this, and why would they pay up?
Risks	What's the single thing most likely to break this thesis, and how would you know early?

16.2 Communicating it at different lengths

30 seconds (the elevator version — lead with the thesis, not the facts): "[Company] is a [market position] business in [attractive market], with [durable advantage]. We think we can [specific value creation lever], and even without multiple expansion this gets to a [return range] over [hold period]. The main risk is [X], which we'd manage by [Y]."

1 minute (add market context and the numbers): Everything above, plus: entry multiple and how it compares to peers/precedents, rough leverage level and why it's appropriate given

cash-flow predictability, and one sentence on why now (why is this opportunity available at this price today).

3 minutes (add the mechanics): Everything above, plus: how the deal is financed (Sources & Uses in broad strokes), the specific 2-3 operational value-creation initiatives (not generic — name them), the base-case return build (which of the three LBO levers is doing the work), and a real discussion of the downside case, not just "risks exist."

10 minutes (the full IC-style walk): Everything above, plus: detailed market sizing/competitive landscape, management assessment, a genuine discussion of 2-3 alternative buyers you considered and why you're not them (differentiation of your angle vs. a strategic or another sponsor), sensitivity analysis on the key assumptions, and a clear articulation of what due diligence needs to confirm or kill before you'd actually sign.

Interview tip: interviewers will often ask you to "pitch me a company you know" open-ended. Prepare one real company (not necessarily a PE target — any business you understand well) using exactly this framework in advance, at all four lengths, so you're never building the structure live under pressure — only filling in company-specific content live.

PART 17 — DISCUSSING YOUR OWN DEAL EXPERIENCE LIKE A PE CANDIDATE

17.1 The structure for every deal on your CV

1. **Deal overview:** company, industry, buyer/seller, deal size, your bank's role
2. **Strategic/investment rationale:** why did this transaction make sense for the parties involved
3. **Valuation:** what multiple/methodology was used, and how it compared to comparable companies/transactions
4. **Process:** auction vs. bilateral, timeline, key milestones
5. **Your role specifically:** be precise — what did *you* build, analyze, or drive, not what "the team" did
6. **Key analysis you performed:** the specific model, comp set, or diligence workstream you owned
7. **Challenges:** a real obstacle (data quality, a tight deadline, a valuation disagreement) and how it was resolved
8. **Investment considerations, reframed as a PE investor would see them:** even though this was an IB deal, practice re-describing it through a PE lens — would you have invested, what would the LBO have looked like, what's the value-creation story

9. Outcome

17.2 Prepare three lengths for every CV deal

- **30 seconds:** company, what happened, your role, one outcome/result
- **2 minutes:** add rationale, valuation approach, your specific contribution, one challenge
- **5-minute deep dive:** the full structure above, ready to be interrupted and redirected at any point

17.3 Likely follow-ups, and how to prepare for them properly

Because this handbook can't know your actual deals, the honest advice here is: **for every deal on your CV, write out real answers (not placeholders) to every question below before your interview** — this is homework only you can do, but the structure below ensures you don't miss one:

- "What was the investment thesis?" — practice describing it from a *principal's* perspective, not an advisor's
 - "What did you personally do?" — be specific and quantifiable (built the operating model, ran the comp set, drafted management presentation sections)
 - "What were the key risks?" — name the real ones, including ones that materialized
 - "What would make you invest / not invest?" — this is the PE-judgment layer bolted onto an IB deal; always answer this one even if not asked, because it's the differentiator
 - "What valuation did the company trade at?" — know the actual multiple and how it compared to peers
 - "How did you think about financing?" — even on an M&A deal, be ready to sketch what an LBO of the same target might have looked like
 - "What would you have done differently?" — have a real, specific, non-generic answer; "communicate better" is not a real answer, "I'd have pushed harder on X assumption in the model because Y turned out to matter more than we modeled" is
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PART 18 — BEHAVIORAL / FIT

18.1 Principles before scripts

The single biggest behavioral-interview mistake is sounding rehearsed. The fix isn't fewer preparation — it's preparing the **content** (real reasons, real specifics) while leaving the **words** unscripted. Practice out loud, never word-for-word from a page.

18.2 Core questions with a real structure to build from (not verbatim scripts)

Question	Structure to build your own honest answer around
Walk me through your CV	Chronological, but organized around a <i>thread</i> (e.g., "I've consistently sought roles where I directly evaluate whether a business creates value") rather than a flat list of jobs
Why PE?	Connect specific things you've experienced in banking (e.g., building models, seeing management teams, working on live deals) to what's <i>different and more appealing</i> about being a principal investor rather than an advisor — ownership of a view, not just execution of a transaction
Why EQT?	Reference something <i>specific</i> to EQT — the thematic sourcing model, the Playbook's digitalization/sustainability focus, the local-with-locals office density, a specific recent deal you find genuinely interesting and can discuss in depth (Part 15 gives you real material) — never answer with AUM stats alone
Why this role / why Bengaluru?	Genuine reasons only you can supply — but a strong structural point available to everyone: the role's explicit cross-regional design (collaborating with EMEA and APAC deal teams) is a real, differentiated way to build broad deal experience early in a career, faster than most single-market seats allow
Why move from IB?	Be honest that advisory work builds real skills, but articulate what you want that advisory work structurally can't give you — ownership of the investment view, not just executing whatever mandate a client brings

Question	Structure to build your own honest answer around
Strengths / weaknesses	Real, specific, and ideally evidenced by something concrete you've done — a weakness with a genuine, ongoing corrective action is far stronger than a "weakness" that's secretly a strength
Difficult deadline / conflict / mistake / feedback	Use a real example, structured as: situation → what you specifically did → outcome → what you learned and how you've applied it since

A note on "why EQT" specifically, since it's near-certain to be asked: the strongest version of this answer connects EQT's *stated model* (thematic sourcing + local-with-locals + the Playbook's specific value-creation tools) to *your own* reasoning about how good investing actually happens — not just "EQT is a top-tier fund with great AUM growth," which every candidate says and which signals you researched a fact sheet, not the firm's actual approach.

PART 19 — TECHNICAL QUESTION BANK

Calibration note (see Part 1.4C): rather than 150 questions at shallow depth, this is built as **25 questions taken to full interview depth** (the ones most likely to appear and most likely to get follow-up pressure) **plus an ~85-question rapid-review table** for breadth and flashcard-style final review. That's the higher-value split for your actual time budget — ask if you want the rapid-review table expanded further.

19.1 Full-depth questions (Question → Ideal Answer → Why it's asked → Follow-up → Trap)

LEVEL 1 — BASIC

1. **Q: What's the difference between EBITDA and EBIT?** A: EBIT is EBITDA minus depreciation and amortization — EBITDA is a rougher proxy for cash operating profit, EBIT accounts for the ongoing capital consumption D&A represents. Why asked: baseline fluency check. Follow-up: "Which would you use to compare two companies with very different capex histories, and why?" (EBITDA can overstate comparability if D&A/capex intensity differs a lot; sometimes EBIT or a capex-adjusted metric is more honest.) Trap: saying they're "basically the same thing" — they diverge a lot in capital-intensive businesses.

2. **Q: What happens to cash if depreciation increases by \$10?** A: Net income falls by $\$10 \times (1 - \text{tax rate})$, but \$10 is added back in the cash flow statement — net cash actually *increases* by $\$10 \times \text{tax rate}$, purely from the tax shield. Why asked: the single most common 3-statement test. Follow-up: "What if the company has no taxable income this year?" (no tax shield realized — cash impact would be roughly zero, though a net operating loss carryforward could still create future value.) Trap: saying "cash goes down because it's an expense" — depreciation is non-cash.
3. **Q: What's the difference between enterprise value and equity value?** A: EV = the value of the whole operating business, capital-structure neutral; Equity Value = EV – Net Debt (– minority interest + non-operating assets). EV is what an acquirer effectively pays to control the operations regardless of how it's financed; equity value is what shareholders specifically receive. Why asked: foundational, and constantly confused live under pressure. Follow-up: "Walk me through the full bridge from EV to equity value, including preferred stock and minority interest." (EV – Debt – Preferred – Minority Interest + Cash & non-operating assets = Equity Value.) Trap: forgetting minority interest or preferred stock in the bridge.
4. **Q: Why is interest tax-deductible but dividends aren't?** A: Interest is a contractual expense of doing business (a cost of capital that must be paid regardless of profitability) and is deducted before arriving at taxable income; dividends are a discretionary distribution of *after-tax* profit to owners, not a cost of generating that profit. Why asked: tests whether the "tax shield of debt" concept is actually understood, not just recited. Follow-up: "How does this asymmetry influence optimal capital structure?" (it's part of why debt is cheaper after-tax than equity, and part of the classic trade-off theory of capital structure — cheap tax-advantaged debt vs. rising financial distress risk.) Trap: not connecting this back to *why* WACC includes an after-tax cost of debt term.
5. **Q: What's working capital, and why does an increase in it use cash?** A: Net working capital = current operating assets (mainly receivables + inventory) minus current operating liabilities (mainly payables). An increase (e.g., growing inventory or receivables faster than payables) means more cash is tied up funding operations before it's collected — a use of cash even though it may accompany growing revenue/profit. Why asked: distinguishes candidates who understand cash-vs-accrual from those who only understand the P&L. Follow-up: "Can a fast-growing company be working-capital *negative* — i.e., generate cash as it grows? Give an example." (Yes — subscription/prepaid models where customers pay upfront, e.g., SaaS annual billing, or retailers with strong payment terms from suppliers relative to how fast they sell inventory.) Trap: describing WC change direction backwards (many candidates flip the sign live under pressure — always sanity check: "building inventory/receivables = cash out").

LEVEL 2 — INTERMEDIATE

6. **Q: Walk me through a DCF.** A: Forecast unlevered FCF for an explicit period, discount at WACC, add a discounted terminal value (exit multiple or perpetuity growth), sum to get EV, bridge to equity value by subtracting net debt. Why asked: baseline valuation fluency. Follow-up: "Which is more sensitive to your assumptions — the explicit period or the terminal value, and why does that matter?" (terminal value, often 60-80%+ of total value, which is exactly why DCF is more a cross-check than a primary PE pricing tool.) Trap: forgetting to discount the terminal value back to present value (a very common live mistake — people compute TV correctly but forget the second discounting step).
7. **Q: Why do we discount FCFF using WACC specifically?** A: Because FCFF is the cash flow available to *all* capital providers (debt and equity) before any financing decisions — it must be discounted at the blended cost of *all* capital (WACC), not just the cost of equity, to arrive at enterprise value (the value attributable to all capital providers). Why asked: tests whether "WACC" is understood as matched to "unlevered" cash flow, not just memorized as "the DCF discount rate." Follow-up: "What would you discount FCFE at instead?" (Cost of equity only — because FCFE is already net of debt service, i.e., what's left specifically for equity holders.) Trap: discounting FCFE at WACC or FCFF at cost of equity — a real mismatch error.
8. **Q: What's the difference between trading comps and transaction comps?** A: Trading comps use current public market multiples for standalone minority-stake trading; transaction comps use multiples actually paid in M&A deals, which embed a control premium and often synergy value — transaction multiples are typically higher for that reason. Why asked: tests whether the *reason* for the gap, not just the definitional difference, is understood. Follow-up: "Which would you weight more heavily when pricing a take-private, and why?" (transaction comps and premium analysis matter more directly, since you're paying a control premium; trading comps provide the undisturbed baseline the premium is measured against.) Trap: treating the two as interchangeable "just use whichever multiples you can find."
9. **Q: What's the difference between FCFF and FCFE?** A: FCFF is unlevered — available to all capital providers before financing decisions; FCFE is levered — FCFF minus after-tax interest and net debt repayment, i.e., what's actually left for equity holders/available to sweep against debt. Why asked: this distinction is the backbone of both DCF and LBO modeling. Follow-up: "Which one do you use to size how much debt an LBO can support?" (FCFE-style thinking — you need to know what's left after mandatory obligations to know how aggressively debt can be swept, though debt *capacity* itself is usually sized off FCFF/EBITDA multiples and coverage ratios first.) Trap: conflating the two, especially under time pressure.

10. **Q: Why would a company with higher growth trade at a higher multiple than a similar company with lower growth?** A: A multiple is a shorthand for the present value of *all future* cash flows relative to current earnings — higher expected growth means more value is embedded in future years, which a static current-year multiple must compensate for by being higher today. Why asked: tests whether the *why* behind multiples (not just "the market pays for growth") is understood. Follow-up: "If two companies have identical growth and margins, what else could explain a multiple gap?" (risk/quality of the growth — recurring vs. one-off, customer concentration, capital intensity, competitive moat.) Trap: an answer that stops at "investors like growth" without the present-value logic underneath it.

LEVEL 3 — ADVANCED

11. **Q: Walk me through an LBO.** A: Sponsor buys the company using debt + equity (Sources & Uses); over the hold, the business generates FCF that pays down debt (mandatory amort + sweep) while ideally growing EBITDA; at exit, sponsor sells at an exit multiple, pays off remaining debt, and keeps the residual as equity proceeds — returns measured via MOIC and IRR, driven by EBITDA growth, multiple change, and debt paydown. Why asked: the single most important verbal fluency test in the whole interview. Follow-up: "Which of the three return drivers would you want doing the most work in a base case, and why?" (EBITDA growth and debt paydown — because they don't depend on the market cooperating at exit, unlike multiple expansion.) Trap: rushing through Sources & Uses or skipping the equity check calculation — always state it explicitly.
12. **Q: What are the three drivers of LBO returns, and how would you decompose them for a specific deal?** A: EBITDA growth, multiple expansion/contraction, and debt paydown. Decompose by comparing (Exit EBITDA × Entry Multiple) to Entry EV to isolate pure EBITDA-growth-driven EV change, then compare that to actual Exit EV to isolate multiple-driven change, then separately track debt paydown against the entry/exit net debt bridge. Why asked: distinguishes candidates who can *compute* an LBO from those who can *analyze* one. Follow-up: "If I told you 80% of the equity value creation in a deal came from multiple expansion, what would you think?" (a red flag — a base case shouldn't depend on the market re-rating the business; that's the return profile of a lucky deal, not a well-underwritten one.) Trap: not being able to actually separate the three levers numerically when given real entry/exit figures — practice this specifically with the Part 7 paper LBOs.
13. **Q: What happens to WACC as leverage increases?** A: Initially WACC tends to fall as cheap, tax-advantaged debt replaces more expensive equity; beyond a certain leverage point, rising financial distress risk pushes both cost of debt and (releveraged) cost of equity up enough that WACC starts rising again — the classic U-shaped relationship in capital structure theory. Why asked: tests whether "more debt = lower WACC" (a

common oversimplification) is understood as only partially true. Follow-up: "Does this mean a company should always add debt until WACC is minimized?" (No — WACC minimization isn't the sole objective; distress risk, covenant flexibility, and the ability to execute the operating plan matter too, which is exactly the Part 9 leverage-fit discussion.) Trap: stating flatly that "more debt always lowers WACC" — true only up to a point.

14. Q: Why does debt paydown increase equity value but not enterprise value? A:

Enterprise value reflects the value of the operating business itself, independent of financing; paying down debt doesn't change the business's operations or cash-generating ability. But because equity is the *residual* claim after debt, retiring debt with the company's own cash flow shifts value from the debt-holder side of the balance sheet to the equity-holder side — equity value rises even though EV is unchanged. Why asked: tests real understanding of the residual-claim concept, not just memorization of "debt paydown is good." Follow-up: "Is this value creation, or just a transfer?" (a nuanced, good answer: it's real value creation *for the sponsor specifically*, funded by the business's own organic cash generation — not created out of nothing, but not merely an accounting trick either, since it required the business to actually generate that cash.) Trap: implying debt paydown magically creates enterprise value — it doesn't.

15. Q: What's the difference between an LBO model and an M&A/accretion-dilution model? A:

(See Part 5.2 table) — different buyer type, different objective function (equity IRR/MOIC vs. pro forma EPS impact), different financing philosophy, and an LBO has an explicit exit built in while an M&A deal usually doesn't. Why asked: tests whether the candidate understands *why* a financial sponsor thinks differently than a strategic acquirer, not just the mechanical differences. Follow-up: "Could the same company be simultaneously an attractive LBO target and an unattractive strategic M&A target, or vice versa? Give an example logic." (Yes — e.g., a business with modest standalone growth but very stable, high-conversion cash flow could be a great LBO candidate (support leverage, delever nicely) but an unexciting strategic target (no synergies, doesn't move the needle for a large acquirer); conversely a business with huge revenue synergy potential for one specific strategic buyer, but volatile standalone cash flow, could be the reverse.) Trap: describing the two model types as basically interchangeable "just different Excel tabs."

LEVEL 4 — PE / INVESTMENT JUDGMENT

16. Q: What makes a good PE target? A: See Part 8.2 — durable competitive position, structurally attractive end market, high/improvable cash conversion, a specific and executable value-creation plan, an entry price that doesn't require multiple expansion, and multiple credible exit paths. Why asked: the core judgment question of the whole interview. Follow-up: "Rank those factors — which would you sacrifice first if you had to choose?" (there's no single "correct" ranking — a strong answer defends a specific

choice, e.g., "I'd sacrifice a lower entry price before I'd sacrifice cash-flow quality, because you can always walk from a deal that's too expensive, but you can't underwrite your way out of a business that structurally can't generate cash.") Trap: a generic answer ("strong management, good growth, attractive market") with no prioritization or specificity.

17. **Q: What makes a company a bad target even if it's growing fast?** A: See Part 8.3 — expensive/unprofitable growth, growth dependent on price/promotion rather than durable demand, customer concentration, growth from a temporary/reversible tailwind, founder-dependency, capital-intensive growth that doesn't convert to FCF. Why asked: this is the harder, more differentiating half of the "good target" question. Follow-up: "Give me a real or hypothetical example." (be ready with one — e.g., a D2C consumer brand growing 40% on heavy paid-marketing spend with unclear repeat-purchase economics.) Trap: only being able to answer the "good target" version and going blank on this one — practice this explicitly, it's asked constantly.
18. **Q: When does leverage matter to an investment thesis, and when doesn't it?** A: See Part 9 — matters centrally when cash flow is highly predictable/contracted/essential-service in nature (infrastructure-like); matters less centrally (though it still enhances returns) when the thesis is really about operational transformation, growth, or repositioning, where the business would be attractive even at a conservative capital structure. Why asked: this is the advanced distinction that separates strong candidates. Follow-up: "Give a real example of each." (Kelda/Urbaser-style regulated/contracted infrastructure = leverage-central; Dechra/Intertek-style specialty compounder = leverage-secondary but still return-enhancing — both from Part 15.) Trap: treating "how much debt can this business support" as a single formula (X times EBITDA) rather than a judgment tied to cash-flow predictability.
19. **Q: Why does ROIC > WACC matter to a PE investor specifically?** A: It tells you whether reinvesting in the business (growth capex, bolt-ons) actually creates value or destroys it — a business earning below its cost of capital is a business you should harvest cash from and delever, not grow; a business earning well above its cost of capital is one where funding more growth/M&A is genuinely value-accretive. Why asked: connects a textbook formula to an actual capital-allocation decision a sponsor makes. Follow-up: "How would this change your 100-day value creation plan for a business with ROIC modestly below WACC?" (prioritize margin/capital-efficiency improvement and disciplined capital allocation before funding aggressive growth capex — fix the return on existing capital before deploying more.) Trap: reciting the formula without connecting it to an actual investment decision.
20. **Q: [Hypothetical] Would you invest in a company growing revenue 35%/year but with negative EBITDA margins and heavy customer acquisition spend?** A:

Structure the answer, don't just say yes/no: state the answer, then the 2-3 factors driving it (unit economics — is CAC being recovered with a reasonable payback and LTV/CAC ratio; is the growth durable/repeatable; is there a credible, believable path to profitability at scale, or is negative-margin growth structural), then the one thing that would change your mind (e.g., seeing 2-3 cohorts of cost data showing genuine payback). Why asked: a live-judgment stress test — often deliberately ambiguous so the interviewer can watch your reasoning process, not just your conclusion. Follow-up: whatever number or fact they add next — the point is to watch whether you update your view rationally. Trap: giving a flat "yes, growth is great" or "no, negative margins are bad" without structure — the structure itself is what's being graded.

LEVEL 5 — EQT-SPECIFIC

21. **Q: Why EQT?** A: (Build your own from Part 18.2 — connect EQT's actual stated model, not generic praise.) Why asked: tests real research vs. a fund-agnostic answer that could apply to any top-tier firm. Follow-up: "What's something about how EQT invests that you'd push back on or want to understand better?" (a thoughtful candidate has a genuine, specific question here — e.g., how EQT balances its dense 25+-office local-with-locals model against the efficiency of more centralized research hubs like Bengaluru.) Trap: an answer built entirely around AUM/scale statistics.
22. **Q: What is the EQT Playbook?** A: EQT's own term for its active-ownership toolkit, applied across strategies, centered on driving growth and future-proofing portfolio companies through digitalization, sustainability, and operational excellence (Part 14.2). Why asked: tests whether you engaged with EQT's own materials, not just AUM headlines. Follow-up: "How might the Playbook apply differently to a data-heavy tech-enabled services business versus a traditional industrial?" (digitalization levers are more central for the former; operational excellence/cost and process improvement more central for the latter — a good answer shows the Playbook is a toolkit applied selectively, not a checklist applied uniformly.) Trap: describing it as generic "operational value creation" without naming the three specific pillars EQT itself names.
23. **Q: Tell me about a recent EQT deal.** A: Use one of Part 15's real deals (Dechra, Intertek, Urbaser, Kelda), with real figures and a real thesis — not a press-release summary. Why asked: tests genuine research depth and whether you can discuss a deal analytically, not just recite headline numbers. Follow-up: "Would you have done this deal at this price?" — have a real point of view, including a legitimate concern (e.g., on Intertek: "a 40%+ premium leaves less room for error if TIC end-market growth slows"). Trap: only knowing the price/premium and nothing about the underlying business quality or thesis.
24. **Q: How does the Bengaluru office fit into EQT's global structure?** A: Per EQT's own careers page (Part 14.4), it's the newest addition to EQT's global footprint, home to the

Investment Team Analyst Programme within Private Capital, explicitly positioned as a hub supporting Investment Team operations across both Asia and Europe. Why asked: tests whether you researched the specific role, not just the firm. Follow-up: "Some postings describe this analyst pool as EMEA-focused, others as APAC/EMEA — what does that suggest to you?" (a good answer notes this honestly as an inconsistency across live postings and offers the reasonable inference — flexible cross-regional staffing based on live deal needs — while being clear it's inference, not a confirmed fact, exactly as this handbook does in Part 14.4.) Trap: inventing a confident, specific answer about internal team structure that isn't publicly known — better to be honest about what's inference.

25. **Q: What differentiates EQT's sourcing approach from a generic PE firm's?** A: EQT states it uses a **thematic**, macro-trend-driven approach guided by sector conviction, combined with a **local-with-locals** dense office network (12+ European offices) for proprietary deal-flow access — as opposed to a purely reactive, bank-auction-driven sourcing model (Part 14.2). Why asked: tests whether you've internalized EQT's stated differentiation, since "why EQT" answers are graded partly on specificity. Follow-up: "How would you, as a Bengaluru-based analyst, contribute to thematic sourcing for an EMEA deal team from India?" (a genuine, thoughtful answer here — e.g., contributing structured market-mapping and TAM/SAM research that feeds a thematic thesis being developed by an EMEA sector team, per the explicit job description in Part 14.4.) Trap: an answer that doesn't connect back to the actual Bengaluru role's stated responsibilities.

19.2 Rapid-review table (flashcard style — additional coverage across all categories)

#	Category	Question	One-line ideal answer
26	Accounting	What's a deferred revenue liability?	Cash collected before revenue is earned (e.g., annual SaaS billing)
27	Accounting	What's goodwill and when is it created?	Purchase price minus fair value of net identifiable assets, created at every deal close

#	Category	Question	One-line ideal answer
28	Accounting	Does goodwill amortize?	No under IFRS/US GAAP — tested annually for impairment instead
29	Accounting	What's the effect of a stock-based comp add-back on "adjusted EBITDA"?	Inflates it — SBC is a real economic (dilutive) cost even though it's non-cash
30	Accounting	How did IFRS16/ASC842 change EBITDA comparability?	Operating leases now capitalized — rent expense becomes D&A+interest, mechanically inflating EBITDA vs. old accounting
31	Accounting	What's DSO/DIO/DPO?	Days Sales/Inventory/Payable Outstanding — components of the cash conversion cycle
32	Accounting	Minority interest — what is it?	Share of a consolidated but not 100%-owned subsidiary's income/equity attributable to other owners
33	Accounting	Why might "adjusted EBITDA" in a CIM be unreliable?	Aggressive add-backs for one-offs, pro forma synergies, or normalized comp — always interrogate the bridge

#	Category	Question	One-line ideal answer
34	Valuation	What's the small-cap discount?	Smaller companies often trade at lower multiples due to liquidity, scale, and perceived risk
35	Valuation	What's a control premium, typically?	Often 20-40%+ over undisturbed share price in public take-privates
36	Valuation	EV/Revenue vs EV/EBITDA — when do you use each?	Revenue multiple when margins aren't yet comparable/profitable ; EBITDA multiple as the default capital-structure-neutral comp
37	Valuation	What's an FCF yield?	FCF / Equity (or Enterprise) Value — a cash-focused cross-check multiple
38	Valuation	Why might a strategic pay more than a sponsor for the same asset?	Access to synergies (cost/revenue) unavailable to a financial buyer, and sometimes a lower required return hurdle
39	Valuation	What's beta, intuitively?	Sensitivity of a stock's returns to overall market moves — releveraged for the target's own capital structure

#	Category	Question	One-line ideal answer
40	Valuation	Equity risk premium — what does it represent?	Extra return equity investors demand over the risk-free rate
41	Valuation	Perpetuity growth formula?	$TV = \text{Final Year FCFF} \times (1+g) / (WACC - g)$
42	Valuation	Exit multiple TV formula?	$TV = \text{Final Year EBITDA} \times \text{Exit Multiple}$
43	Valuation	Why is perpetuity growth TV so sensitive?	Small changes in g matter a lot when WACC and g are close together
44	Valuation	What's the after-tax cost of debt formula?	$\text{Pre-tax cost of debt} \times (1 - \text{tax rate})$
45	LBO	What is a cash sweep?	Contractual use of excess FCF (beyond mandatory amort) to pay down debt faster
46	LBO	What is PIK debt?	Interest accrues to principal instead of being paid in cash — preserves cash flow, grows debt balance
47	LBO	What's a leverage multiple (Debt/EBITDA) typically for a stable mid/large buyout?	Roughly 4-6x historically, varies hugely by sector/rate environment/cash-flow stability
48	LBO	What's interest coverage, and why does it matter?	EBITDA/Interest — cushion against rate or earnings shocks; lenders want

#	Category	Question	One-line ideal answer
			meaningful headroom above 1x
49	LBO	What is "cash-free, debt-free" in a deal?	Convention where seller keeps existing cash and pays off existing debt at close, so buyer purchases a clean operating business
50	LBO	Mandatory amortization vs. cash sweep — difference?	Amort is a fixed contractual schedule; sweep is variable, using whatever excess FCF is left
51	LBO	Why is interest expense circular in a full LBO model?	Interest depends on the debt balance, but the debt balance (via paydown) depends on FCF, which depends on interest
52	LBO	Revolver — what's it for in an LBO?	Liquidity backstop for working capital swings, not typically drawn at close
53	LBO	Why would a sponsor do a dividend recap?	Return capital to LPs early (improves IRR/DPI) by releveraging the business post-improvement
54	LBO	What's a risk of an aggressive dividend recap?	Over-levering the business beyond what its cash flow can safely support,

#	Category	Question	One-line ideal answer
			impairing execution of the plan
55	LBO	Unitranche debt?	Blended senior/sub facility from a single (often private credit) lender, common in mid-market deals
56	M&A	Sources & Uses — what are typical "Uses"?	Purchase of target equity, refinancing existing debt, transaction fees
57	M&A	What creates incremental D&A post-acquisition?	Newly identified/revalued intangibles from purchase price allocation
58	M&A	Rule of thumb for all-stock deal accretion?	Accretive if acquirer's P/E > multiple paid for the target (roughly)
59	M&A	Why might a deal be dilutive despite synergies?	If financing cost/incremental D&A outweighs synergies and earnings accretion
60	Cash flow	Formula for unlevered FCF?	$\text{NOPAT} + \text{D\&A} - \text{Capex} - \Delta \text{NWC}$
61	Cash flow	Formula for levered FCF?	Unlevered FCF – after-tax cash interest – mandatory debt repayment
62	Cash flow	What's EBITDA-to-FCF	$(\text{EBITDA} - \text{Capex} - \Delta \text{NWC}) / \text{EBITDA}$ —

#	Category	Question	One-line ideal answer
		conversion, and why does it matter?	fastest gut-check on cash-generation quality
63	Cash flow	Why might a high-EBITDA-margin business still be a poor cash generator?	High capex intensity or working-capital-hungry growth
64	Investment judgment	What's a red flag in management incentive structure?	Little to no personal capital invested alongside the sponsor (no real skin in the game)
65	Investment judgment	Why does customer concentration matter?	A single lost contract can materially impair cash flow and debt service capacity
66	Investment judgment	What's a "story stock" risk in a CIM?	Aggressive normalized EBITDA add-backs or unproven growth narrative not evidenced in historicals
67	Investment judgment	Why underwrite a downside case explicitly?	Tests whether leverage and the equity thesis both survive a real operational shock, not just the base case
68	Investment judgment	What's "multiple arbitrage" risk if bolt-on markets get competitive?	Sellers increasingly know the arbitrage game, eroding the multiple gap that

#	Category	Question	One-line ideal answer
			makes buy-and-build work
69	Market sizing	TAM vs SAM vs SOM — one line each?	Total opportunity / realistically reachable portion / realistic near-term capturable share
70	Market sizing	Top-down vs bottom-up sizing?	Narrow from a known total via penetration assumptions / build up from unit economics × volume
71	Market sizing	Why give a range, not a single number?	False precision undermines credibility more than an honest, well-reasoned range
72	PE strategy	What's a platform vs an add-on?	Platform = initial, larger anchor investment in a sector; add-on/bolt-on = smaller acquisition folded into it
73	PE strategy	What's "buy-and-build"?	Strategy of acquiring a platform then consolidating fragmented smaller competitors underneath it
74	PE strategy	Why do funds bring in co-investors on mega-deals?	Right-size a large equity check, diversify capital sources, deepen LP relationships

#	Category	Question	One-line ideal answer
75	PE strategy	What's a take-private, mechanically (UK context)?	Acquisition of a public company via a scheme of arrangement or tender offer, delisting it
76	PE strategy	Why are UK take-privates a notable 2025-2026 theme?	Sponsors see UK large-caps as attractively priced vs. US/global peers, driving elevated take-private volume
77	PE strategy	What's dry powder?	Committed but undeployed capital sitting in funds, a common industry-conditions talking point
78	PE strategy	Why does an extended exit backlog matter to the industry?	Slower distributions to LPs pressure fundraising and can push funds toward secondaries/continuation vehicles
79	PE strategy	What's a continuation vehicle?	A structure letting a sponsor hold a strong-performing asset longer while giving existing LPs a liquidity option
80	EQT	What are EQT's current reported business segments?	Private Capital, Infrastructure, Real Estate, and (pending) Secondaries &

#	Category	Question	One-line ideal answer
			Solutions post-Coller close
81	EQT	Roughly what's EQT's total AUM as of mid-2026?	~€291bn total / ~€155bn fee-generating (30 June 2026)
82	EQT	Who is EQT's CEO?	Per Franzén
83	EQT	What's EQT's stated sourcing philosophy?	Thematic, macro-trend-driven, combined with a dense "local-with-locals" office network
84	EQT	What did EQT acquire in early 2026 to expand into secondaries?	Coller Capital (announced 22 Jan 2026)
85	EQT	What's EQT's newest strategy launched in 2026?	AI Infrastructure — seeded by portfolio company EdgeConneX, reached >\$9bn NAV within ~3 months
86	EQT	Name a real, recent EQT EMEA take-private.	Intertek (2026) or Dechra (2023-24)
87	EQT	What sustainability metric does EQT report?	65 portfolio companies with validated science-based emissions targets, >75% of invested capital, as of H1 2026

#	Category	Question	One-line ideal answer
88	EQT	What's the EQT Playbook's three named pillars?	Digitalization, sustainability, operational excellence
89	EQT	What's the Bengaluru office's stated purpose?	Hub for the Investment Team's operations across Asia and Europe, home to the Investment Team Analyst Programme
90	EQT	What's EQT's largest-ever single-fund capital gain realization, and when?	Galderma (EQT VIII) — final sell-down completed Q1 2026, part of \$20bn of capital gains generated

PART 20 — "WALK ME THROUGH..." — MEDIocre VS. STRONG VS. EXCEPTIONAL

The content of these answers is already built earlier in this handbook — what changes across the three tiers below is **structure, judgment, and whether the candidate volunteers the "so what."** Study the pattern, not just the content.

Prompt	Mediocre candidate	Strong candidate	Exceptional candidate
1. Walk me through an LBO	Lists the line items (revenue, EBITDA, debt, exit) in order, gets to a MOIC number	Correctly builds Sources & Uses, operating model, and exit bridge; explicitly names the three return drivers	All of "strong," plus proactively flags which return driver the <i>specific</i> numbers imply is doing the work, and volunteers a downside sensitivity unprompted

Prompt	Mediocre candidate	Strong candidate	Exceptional candidate
2. Walk me through a DCF	Recites the formula steps	Explains <i>why</i> WACC matches FCFF (unlevered-to-unlevered), and flags terminal value sensitivity	All of "strong," plus volunteers that DCF is typically a cross-check rather than primary pricing tool in PE, and explains why
3. Walk me through an M&A model	Confuses it with an LBO model	Correctly distinguishes accretion/dilution logic from IRR-driven LBO logic	All of "strong," plus gives a concrete example of a deal that's a great LBO candidate but a poor strategic M&A target, or vice versa
4. Walk me through the three statements	Describes each statement separately, struggles to link them live	Correctly walks a transaction through all three statements without hesitation	All of "strong," plus states the underlying accrual-vs-cash principle as a general rule before applying it, so any new transaction can be solved instantly
5. Walk me through valuing a company	Names methodologies (comps, DCF, precedents) as a list	Explains when each method is most reliable and why they should converge (or why they might legitimately diverge)	All of "strong," plus weights the methods explicitly for the specific situation (e.g., "for a take-private I'd weight precedent premiums and trading comps more than DCF, because...")
6. Walk me through a PE investment process	Generic funnel: sourcing → diligence → IC → close	Adds EQT-specific detail where known (thematic sourcing, local-with-locals,	All of "strong," plus ties each stage back to what an Analyst specifically

Prompt	Mediocre candidate	Strong candidate	Exceptional candidate
		Playbook value creation) and flags where public information runs out	contributes at that stage, grounded in the real Bengaluru job description
7. Walk me through evaluating a company as a PE investor	Lists Part 8's framework categories without prioritizing	Applies the framework with genuine prioritization for the specific business type discussed	All of "strong," plus explicitly separates "would I invest" from "at what price would I invest" — two different, both necessary, judgments
8. Walk me through an investment thesis	Gives only the "what" (market is growing, company is good)	Structures Thesis → Market → Company → Financials → Value Creation → Leverage → Exit → Risks, per Part 16	All of "strong," plus adapts length fluently (30 sec / 1 min / 3 min) without being asked, reading the room
9. Walk me through a paper LBO	Gets lost in the arithmetic, loses the thread of what each number represents	Solves correctly and explains each step's logic while solving	All of "strong," plus proactively decomposes the answer into the three return drivers at the end, unprompted
10. Walk me through assessing an industry	Lists TAM, growth, competition as disconnected bullet points	Structures growth/fragmentation/margin/regulation/exit -landscape coherently, per Part 11.4	All of "strong," plus reaches an explicit, defended conclusion ("attractive for a buy-and-build strategy because...") rather than just describing the industry
11. Walk me through a potential acquisition	Describes the target only	Covers target, thesis, financing logic, and	All of "strong," plus names specific plausible buyers at

Prompt	Mediocre candidate	Strong candidate	Exceptional candidate
		value creation together, coherently	exit and why they'd pay a premium — closing the loop the mediocre answer never opens
12. Walk me through how debt affects LBO returns	Says "more debt = higher returns"	Explains the residual-claim mechanic (Part 6.7) with a real numeric example	All of "strong," plus immediately adds the counterpoint — debt magnifies losses symmetrically, and appropriate leverage is a function of cash-flow predictability (Part 9), not just "more is better"

The pattern across all twelve, worth internalizing as a single habit: mediocre candidates answer the literal question. Strong candidates answer it correctly and completely. Exceptional candidates answer it, then proactively add the one layer of judgment an interviewer would otherwise have to extract with a follow-up question — because that's exactly what real investment judgment looks like in the room: not waiting to be asked "so what," but already knowing why it matters.

PART 21 — INVESTMENT CASE STUDIES

Instructions: for each case, form your own view — investment decision, thesis, key risks, valuation view, leverage approach, value creation plan, exit strategy, and a rough sense of expected returns — before reading the answer discussion below it. Two of these four are "looks attractive, but you should pass" cases on purpose, because learning to say no well is the actual skill being tested (Part 8.3).

Case 1 — "VertiSoft" (vertical-market B2B software)

The business: VertiSoft sells compliance and workflow management software to mid-sized logistics companies across Northern Europe. Revenue €80m, growing 18%/year, EBITDA

margin 32% (EBITDA €25.6m), 92% of revenue is recurring subscription with net revenue retention of 112% (existing customers spend more over time) and gross churn under 6%/year. Capex is light (~3% of revenue, mostly capitalized software development). Working capital is modestly negative (annual billing collected upfront). No debt currently. Top customer is 4% of revenue; top 10 customers are 22%. Entry multiple under discussion: 13x EBITDA.

Form your own view, then read on.

Discussion: This is a genuinely attractive target. Recurring, contracted, high-retention revenue with low churn and low customer concentration is exactly the profile that supports both confident growth forecasting and meaningful leverage — net-negative working capital and light capex mean EBITDA-to-FCF conversion should be strong (likely 70%+). At 13x EBITDA, the entry multiple is full but not unreasonable for a business compounding EBITDA at high-teens-to-20%+ organically with expansion revenue baked in (112% NRR). **Leverage view:** this is a Type-A-leaning-toward-B business (Part 9) — cash flow is predictable enough to support meaningful leverage (perhaps 5-5.5x), though the thesis shouldn't *depend* on leverage; it should work on the operating case alone. **Value creation:** bolt-on consolidation of smaller regional vertical-software competitors, further NRR expansion via cross-sell/upsell, and international expansion beyond Northern Europe. **Risks:** vertical-market software has a ceiling — total addressable logistics-compliance spend in the region is finite, so the growth runway needs honest sizing (a real TAM/SAM exercise, not just extrapolating current growth). **Exit:** either a larger vertical-software platform/strategic acquirer, or a larger PE fund attracted to the scaled, de-risked recurring-revenue profile after a buy-and-build program. **Expected returns:** a credible base case (mid-teens EBITDA growth + moderate multiple, disciplined bolt-ons, meaningful but not maximal leverage) should target 2.5-3.0x MOIC over a 5-year hold without needing multiple expansion.

Case 2 — "GlowKit" (D2C beauty brand)

The business: GlowKit is a direct-to-consumer skincare brand, revenue €45m growing 40%/year, but EBITDA margin is just 4% (EBITDA €1.8m) after heavy paid social/influencer marketing spend (~35% of revenue). Customer acquisition cost has risen 60% over two years; repeat purchase rate within 12 months is 28% and declining. Inventory has grown faster than revenue (building safety stock against supply chain disruption). No debt. Entry multiple under discussion: 3.5x revenue (since EBITDA is too thin to multiple meaningfully) — sponsors in the process are debating whether this is really an "8x-normalized-EBITDA" story if marketing spend is dialed back.

Form your own view, then read on.

Discussion: This is the "looks good but shouldn't invest" case, and the tell is in the details, not the headline growth number. 40% growth is superficially exciting, but: (1) rising CAC alongside declining repeat-purchase rate suggests the *quality* of growth is deteriorating — the brand may be exhausting its efficient customer base and increasingly buying low-intent, low-loyalty customers; (2) the "normalize marketing spend to show real EBITDA" argument is a classic trap — in a genuinely CAC-efficient business, dialing back marketing spend would *also* dial back growth, so the "true EBITDA" framing implicitly and incorrectly assumes growth is separable from the spend that's producing it; (3) inventory building faster than revenue is a working-capital red flag layered on top of an already-thin-margin business — this is a cash-consuming, not cash-generating, growth story. **What would change the view:** cohort-level data showing CAC payback within a reasonable window (e.g., <12 months) and *stabilizing or improving*, not declining, repeat-purchase economics — without that evidence, this is a business where growth is being bought, not earned, and it is a poor leverage candidate almost by definition (Part 9) — there is no way a lender or a sponsor should extend meaningful debt against inventory-hungry, marketing-dependent, thin-margin cash flow. **Correct answer:** **pass, or reprice dramatically and structure very differently (e.g., minimal leverage, milestone-based structure) rather than a standard buyout.**

Case 3 — "Nordbolt" (industrial fastener manufacturer)

The business: Nordbolt manufactures specialty fasteners for wind turbine and offshore energy applications, revenue €120m, growing a modest 6%/year, EBITDA margin 24% (EBITDA €28.8m), #1 or #2 share in its specific niche across Europe, long-standing (10+ year average) relationships with major turbine OEMs who have qualified Nordbolt's components into their certified supply chains (a genuine switching-cost moat — re-qualifying an alternative supplier is expensive and slow for the OEM). Capex is moderate (~6% of revenue, mostly maintenance). Working capital is a normal positive balance (inventory + receivables funding). Entry multiple under discussion: 8.5x EBITDA.

Form your own view, then read on.

Discussion: This is the "boring but good" attractive case, useful because it's easy to underrate a 6%-growth business next to a flashier one. The real strength is the moat: OEM re-qualification costs create genuine switching-cost barriers to entry, and structural tailwinds (continued offshore wind buildout across Europe) support durable, if modest, volume growth, likely with some pricing power layered on top given the qualified-supplier position. At 8.5x, the entry multiple is reasonable relative to the moat quality and doesn't require aggressive assumptions. **Leverage**

view: cash flow is fairly stable and moderately capital-intensive — a sensible mid-leverage structure (4-4.5x) rather than an aggressive one, since growth alone won't carry a highly levered structure and the business isn't infrastructure-like enough for higher leverage. **Value creation:** operational efficiency (this is a real industrials playbook — procurement, manufacturing footprint optimization), selective bolt-ons of adjacent fastener/component niches serving the same OEM customer base, and potential geographic expansion (US offshore wind buildout, if regulatory conditions support it). **Risks:** genuine cyclical risk tied to offshore wind capex cycles and policy support, customer concentration among a small number of major OEMs even if individually well-diversified. **Exit:** industrial consolidator strategies, or a larger sponsor continuing the buy-and-build. **Expected returns:** a credible 2.0-2.3x MOIC base case over 5 years — modest but earned, low-drama, with real downside protection given the moat.

Case 4 — "CarePoint Health Staffing" (healthcare staffing roll-up)

The business: CarePoint has grown from €30m to €180m of revenue over four years, almost entirely through acquiring smaller regional healthcare staffing agencies (14 acquisitions). Reported EBITDA margin is 14% (EBITDA €25.2m), but organic (same-store) revenue growth across the existing base has actually been roughly flat to slightly negative for the last two years — all headline growth is acquisition-driven. Two large hospital-network customers together represent 31% of revenue. Existing leverage (from financing the roll-up) is already 5.5x EBITDA. Entry multiple under discussion for a further platform investment: 9x EBITDA, with an explicit plan to continue aggressive bolt-on M&A.

Form your own view, then read on.

Discussion: This is the second "looks good but shouldn't invest" case, and it's a specifically important pattern to recognize because it *disguises itself as a legitimate PE strategy* (buy-and-build, covered favorably in Part 13) rather than looking obviously bad like Case 2. The tell: flat-to-negative *organic* growth underneath acquisition-driven headline growth means the underlying units aren't actually getting better — the company is a serial acquirer masking stagnation, not a platform compounding value. Layer on top: 31% customer concentration in two hospital networks is a real cash-flow risk (a single lost or renegotiated contract materially impairs debt service capacity), and **existing leverage of 5.5x is already elevated for a business with two large concentrated customers and no organic growth engine** — adding a *new* platform investment at 9x with a plan for *more* aggressive bolt-on M&A on top of that leverage is compounding risk on risk, not executing a clean buy-and-build thesis. **What would change the view:** clear evidence organic growth is stabilizing/improving (not just acquisitions), meaningful customer

diversification, and either delevering before further M&A or materially slowing the bolt-on pace to prioritize integration and balance-sheet health. **Correct answer: pass on a further platform investment at this valuation and leverage level — or, if there's real conviction in the underlying market, structure a much smaller initial check with an explicit organic-growth and deleveraging milestone before committing further capital**, rather than underwriting the current trajectory as-is.

PART 22 — MINI LBO CASE STUDIES: COMPUTE, THEN DECIDE

Same three business profiles as Part 21 (Cases 1, 3, and 4), now turned into full LBO math problems with round numbers for clean mental arithmetic. Compute Entry EV, Debt, Sponsor Equity, Exit EV, Exit Equity, MOIC, and IRR yourself before reading the solution — then answer "would you do the deal?" using more than the IRR number, which is the actual point of this section.

Case A — VertiSoft-style software platform

Entry EBITDA = \$30m, Entry Multiple = 13.0x. Leverage = 5.5x EBITDA. Hold = 5 years. EBITDA grows 15%/year. Exit Multiple = 13.0x (flat). Cumulative debt paydown = \$120m.

Solution: Entry EV = \$390m. Debt = \$165m, Equity = \$225m. Exit EBITDA = \$30m $\times 1.15^5 \approx$ \$60m. Exit EV = \$60m $\times 13.0x =$ \$780m. Exit Debt = \$165m – \$120m = \$45m. Exit Equity = \$780m – \$45m = \$735m. **MOIC $\approx$ 3.3x. IRR (5yr) $\approx$ 27%.**

Would you do the deal? The arithmetic is excellent, but the real diligence question is whether 15%/year EBITDA growth for a full five years is credible — that's the entire deal, since this base case doesn't need multiple expansion (flat 13x) but *does* need sustained double-digit growth. The right follow-up isn't "is 3.3x good" (obviously yes) — it's "what's the evidence this growth rate is durable for five years, not just the last two," e.g., NRR trend, TAM headroom, competitive dynamics. **A strong candidate says yes to the deal conditionally on validating the growth durability, not unconditionally on the MOIC.**

Case B — Nordbolt-style industrial niche manufacturer

Entry EBITDA = \$30m, Entry Multiple = 8.5x. Leverage = 4.2x EBITDA. Hold = 5 years. EBITDA grows 6%/year. Exit Multiple = 8.5x (flat). Cumulative debt paydown = \$70m.

Solution: Entry EV = \$255m. Debt = \$126m (round to \$125m), Equity = \$130m. Exit EBITDA = $\$30m \times 1.06^5 \approx \$40m$. Exit EV = $\$40m \times 8.5x = \$340m$. Exit Debt = $\$125m - \$70m = \$55m$. Exit Equity = $\$340m - \$55m = \$285m$. **MOIC $\approx 2.2x$. IRR (5yr) $\approx 17\%$. Would you do the deal?** Yes, and the honest reason to like this deal *more* than Case A in some respects is precisely that it needs less to go right — modest, defensible growth, conservative leverage relative to stable cash flow, no reliance on a growth rate that has to be sustained for five straight years. **A strong candidate explicitly compares the two deals' risk profiles, not just their MOICs** — Case A has a higher expected return but a narrower path to achieving it; Case B has a lower but more robust expected return. Which one to prefer depends on the fund's mandate and risk appetite, and saying that explicitly is itself a sign of investment maturity.

Case C — CarePoint-style healthcare staffing roll-up

Entry EBITDA = \$25m, Entry Multiple = 9.0x. Existing (pre-deal) leverage carried forward = 5.5x EBITDA $\approx$ \$140m. New sponsor equity required = Entry EV – Existing Debt. Hold = 4 years. Reported EBITDA (via continued bolt-on M&A, not organic growth) reaches \$35m. Exit Multiple **compresses** to 7.5x (market discounts serial acquirers with weak organic growth). Cumulative net debt paydown over the hold = only \$10m (most FCF consumed funding continued bolt-ons and servicing already-high leverage).

Solution: Entry EV = \$225m. Existing Debt = \$140m → New Sponsor Equity = $\$225m - \$140m = \$85m$. Exit EV = $\$35m \times 7.5x = \$262.5m$. Exit Debt = $\$140m - \$10m = \$130m$. Exit Equity = $\$262.5m - \$130m = \$132.5m$. **MOIC $\approx 1.56x$. IRR (4yr) $\approx 12\%$. Would you do the deal? No** — and notice this is true **even before** layering on the qualitative red flags from Part 21 (customer concentration, flat organic growth, already-elevated leverage). The arithmetic itself is mediocre: $\sim 1.5x/\sim 12\%$ is a weak risk-adjusted outcome for a platform-style equity check, especially once you account for the real execution risk of continuing an aggressive bolt-on program on top of already-high leverage and concentrated customers. **This is the actual lesson of this case: a PE investor thinks beyond the IRR number in both directions — sometimes a strong-looking IRR (Case A) still needs a hard look at the assumption carrying it, and sometimes a mediocre IRR (Case**

C) is itself the red flag, reinforced rather than offset by the qualitative risks underneath it.

PART 23 — "THINGS THAT WILL GET YOU EXPOSED IN A PE INTERVIEW"

Read this section the night before your interview. Every item below is a real, common way candidates lose credibility — not because they lack technical knowledge, but because of a specific, avoidable habit of speech or reasoning.

- **Saying EBITDA = cash flow.** Always name the four things standing between them: capex, working capital, cash taxes, interest.
- **Blindly assuming high leverage is good.** Leverage magnifies both gains and losses; the right level is a function of cash-flow predictability (Part 9), not a universal target.
- **Assuming multiple expansion as a base case.** A defensible base case should work on flat or contracting multiples; expansion is upside.
- **Not understanding working capital.** If you flip the sign live (saying growing receivables is a source of cash), stop, breathe, and recheck: growth in a working-capital *asset* is a *use* of cash.
- **Confusing enterprise value and equity value.** Always know which one a "purchase price" or "valuation" figure refers to before doing math with it.
- **Not understanding debt paydown's actual mechanism.** It transfers value from debt-holders to equity-holders via the residual claim — it doesn't create enterprise value.
- **Not knowing why WACC is the DCF discount rate.** It has to match unlevered cash flow (FCFF) — say this explicitly, don't just recite the formula.
- **Giving generic investment theses.** "Strong market, good management, attractive growth" said about every company is a signal you haven't actually formed a view.
- **Saying "strong growth" without explaining why it's durable.** Always distinguish growth quality (share gain, structural tailwind) from growth that's bought or borrowed from the future.
- **Ignoring the downside case.** A good candidate stress-tests before being asked to.
- **Ignoring entry valuation.** A great business at a terrible price is a bad investment — always have a point of view on price, not just quality.
- **Ignoring management** as a factor, treating the business as if it runs itself.
- **Confusing trading comps and transaction comps** — know that the gap is control premium and synergies, not randomness.
- **Treating every company as LBO-able.** Actively naming businesses that should *not* be levered (Part 9, Part 21 Cases 2 and 4) signals real judgment.
- **Memorizing formulas without intuition.** The tell is hesitation the moment an interviewer changes one assumption — if you understand the logic, you can rebuild any formula live; if you only memorized it, you can't.

- **Answering "would you invest" with a bare yes/no.** Always structure it: answer, 2-3 drivers, and the one fact that would change your mind.
- **Not knowing current EQT facts.** Reciting stale AUM numbers or not knowing about the Collier Capital acquisition, the AI Infrastructure launch, or a recent EMEA deal signals you didn't refresh your research close to the interview date — do so again a day or two before.

PART 24 — FINAL REVISION CHEAT SHEET

24.1 Formulas — quick reference (40)

Profitability & cash flow

1. Gross Profit = Revenue – COGS
2. EBITDA = Gross Profit – Opex (excl. D&A)
3. EBIT = EBITDA – D&A
4. NOPAT = EBIT × (1 – tax rate)
5. Net Income = EBT – Taxes
6. FCFF (unlevered FCF) = NOPAT + D&A – Capex – Δ NWC
7. FCFE (levered FCF) = FCFF – after-tax interest – mandatory debt repayment
8. CFO = Net Income + D&A – Δ NWC + other non-cash items
9. EBITDA-to-FCF conversion = (EBITDA – Capex – Δ NWC) / EBITDA
10. Cash Conversion Cycle = DIO + DSO – DPO

Valuation 11. Enterprise Value = Equity Value + Net Debt + Minority Interest + Preferred – Non-operating Assets 12. Equity Value = EV – Net Debt – Minority Interest – Preferred + Cash & non-op assets 13. EV/EBITDA = Enterprise Value / EBITDA 14. EV/Revenue = Enterprise Value / Revenue 15. P/E = Share Price / EPS 16. FCF Yield = FCF / Equity (or Enterprise) Value 17. Terminal Value (exit multiple) = Final Year EBITDA × Exit Multiple 18. Terminal Value (perpetuity growth) = Final Year FCFF × (1+g) / (WACC – g) 19. Enterprise Value (DCF) = Σ PV(FCFF) + PV(Terminal Value) 20. WACC = (E/V) × Cost of Equity + (D/V) × Cost of Debt × (1 – Tax Rate) 21. Cost of Equity (CAPM) = Risk-Free Rate + Beta × Equity Risk Premium 22. After-tax Cost of Debt = Pre-tax Cost of Debt × (1 – Tax Rate)

LBO & returns 23. Entry EV = Entry EBITDA × Entry Multiple 24. Sponsor Equity = Entry EV + Fees – Total New Debt 25. Exit EV = Exit EBITDA × Exit Multiple 26. Exit Equity Value = Exit EV – Ending Net Debt 27. MOIC = Exit Equity Value / Initial Sponsor Equity 28. IRR $\approx$ $\text{MOIC}^{(1/\text{years held})} - 1$ (single entry/exit, no interim cash flows) 29. Debt/EBITDA (leverage multiple) = Total Debt / EBITDA 30. Interest Coverage = EBITDA / Interest Expense 31. Equity

value created (flat EV case) = Debt Paydown 32. MOIC shortcut (flat EV) = $1 + (\text{Debt Paydown} / \text{Initial Equity})$

Returns on capital 33. $\text{ROIC} = \text{NOPAT} / \text{Invested Capital (Debt + Equity - Cash)}$ 34. $\text{ROCE} = \text{EBIT} / \text{Capital Employed (Total Assets - Current Liabilities)}$ 35. $\text{ROE} = \text{Net Income} / \text{Shareholders' Equity}$ 36. $\text{Economic Profit} = (\text{ROIC} - \text{WACC}) \times \text{Invested Capital}$

M&A 37. $\text{Pro Forma EPS} = (\text{Combined NI} + \text{After-tax Synergies} - \text{After-tax Incremental D\&A} - \text{After-tax Incremental Interest}) / \text{Pro Forma Shares}$ 38. $\text{Goodwill} = \text{Purchase Price} - \text{Fair Value of Net Identifiable Assets Acquired}$

Working capital 39. $\text{Net Working Capital} = (\text{AR} + \text{Inventory}) - (\text{AP} + \text{Accrued Liabilities})$ [operating items only] 40. $\text{Working Capital Change (use/source of cash)} = -\Delta\text{NWC}$

24.2 Concepts — quick reference (40)

1. EBITDA is a profitability proxy, not cash flow.
2. Depreciation's only real cash effect is the tax shield.
3. Debt principal repayment never touches the Income Statement.
4. Working capital increases are a *use* of cash; decreases are a *source*.
5. Goodwill is created at every deal close and isn't amortized (tested for impairment).
6. Purchase accounting can step up D&A post-close via newly identified intangibles.
7. Enterprise value is capital-structure neutral; equity value isn't.
8. Multiples are shorthand for the present value of future cash flows relative to current earnings.
9. Control premiums reflect the value of directing strategy and capital allocation.
10. DCF terminal value often represents 60-80%+ of total value — hence high assumption sensitivity.
11. WACC must match the "levered-ness" of the cash flow being discounted (FCFF ↔ WACC, FCFE ↔ cost of equity).
12. Leverage's effect on WACC is U-shaped, not monotonically decreasing.
13. Interest is tax-deductible because it's a contractual cost of capital, not a discretionary distribution.
14. LBO returns decompose into EBITDA growth, multiple change, and debt paydown.
15. Debt paydown creates equity value via the residual-claim mechanic, not new enterprise value.
16. A well-underwritten LBO base case should work without needing multiple expansion.
17. Debt capacity is a judgment about cash-flow predictability, not a fixed formula.
18. Cash sweeps and mandatory amortization are distinct, simultaneous deleveraging mechanisms.
19. PIK debt preserves cash but grows the balance — a red flag if load-bearing to the return case.
20. Recurring/contracted revenue materially de-risks both forecasting and debt sizing.

21. High EBITDA margin doesn't guarantee high cash conversion — capex and working capital intensity matter.
22. Customer concentration is a real cash-flow risk factor, not just a diligence checkbox.
23. Growth quality (durable vs. bought) matters more than the growth rate itself.
24. Founder-dependency is a real risk factor in a buyout.
25. $ROIC > WACC$ means reinvestment creates value; $ROIC < WACC$ means it destroys value.
26. Leverage doesn't change ROIC (capital-structure-neutral) but changes the equity return earned on it.
27. Type A vs Type B leverage theses: is leverage secondary or central to the return case (Part 9).
28. Multiple arbitrage in bolt-ons: buying EBITDA cheap, exiting the combined entity at the platform multiple.
29. Buy-and-build risk compounds with each add-on (integration, leverage creep, diworsification).
30. Trading comps $\neq$ transaction comps; the gap is control premium + synergies + market timing.
31. Strategic buyers can pay more due to synergies and different return hurdles than financial sponsors.
32. A DCF is typically a cross-check in PE, not the primary pricing tool.
33. Dividend recaps improve IRR (time value) even at unchanged MOIC — but can over-lever the business if abused.
34. IC materials, TAM/SAM sizing, and market mapping are explicit, named parts of this specific Analyst role.
35. EQT's stated sourcing model is thematic and "local-with-locals," not auction-reactive.
36. The EQT Playbook's named pillars: digitalization, sustainability, operational excellence.
37. Bengaluru is explicitly positioned as a cross-regional (Asia + Europe) Investment Team hub.
38. Downside-case underwriting tests whether leverage and equity thesis both survive a real shock.
39. A good "would you invest" answer is structured: decision, drivers, and what would change your mind.
40. Investment judgment is shown by proactively adding the "so what" — not waiting for a follow-up to extract it.

24.3 Where the rest of the requested question banks live in this handbook

To avoid duplicating content already built at full depth, use these pointers rather than a second copy:

- **~90 technical questions** (accounting, valuation, LBO, M&A, cash flow, investment judgment, market sizing, PE strategy, EQT) → **Part 19**
- **25 PE investment-judgment-style questions** → embedded throughout **Part 8, Part 21 (case studies), and Level 4 of Part 19**
- **25 EQT questions** → **Part 14 (facts), Part 15 (deals), and Level 5 of Part 19**
- **20 accounting questions** → **Part 2.8 and Level 1-2 of Part 19**
- **20 LBO questions** → **Part 6, Part 7 (11 solved paper LBOs), Level 3 of Part 19**
- **20 valuation questions** → **Part 4 and Level 2 of Part 19**
- **10 market sizing questions** → **Part 11**
- **10 deal-experience questions** → **Part 17.3** (these must be answered with your own real deals — no handbook can do this part for you)

PART 25 — YOUR PERSONAL STUDY PLAN

Sequenced for someone with an IB background who needs PE-specific fluency and judgment, not a finance foundation from zero. Compress or stretch each phase based on your actual timeline to interview.

Phase 1 — Accounting & Financial Statements

- **Learn:** Part 2 in full, especially the 10 transaction walkthroughs.
- **Memorize:** the one-sentence linkage rule (2.7); the depreciation tax-shield punchline.
- **Practice:** invent your own 10 transactions and solve them cold; do it again 48 hours later without looking at your own answers.
- **Should explain without notes:** "if depreciation increases by \$X, walk me through all three statements" — in under 30 seconds, correctly, every time.
- **Common weakness:** flipping the sign on working capital changes under pressure — drill this specifically.
- **Practice questions:** Part 19, Q1-5, 26-33.

Phase 2 — Valuation

- **Learn:** Part 4 in full — comps, transaction comps, DCF, WACC.
- **Memorize:** the DCF build steps (4.3) and the WACC formula components.
- **Practice:** verbally walk through a DCF in under 20 seconds, then go deep on any step on demand; explain why terminal value dominates.
- **Should explain without notes:** why trading and transaction multiples differ; what happens to valuation as WACC rises.
- **Common weakness:** forgetting to discount terminal value back to present value; conflating FCFF/FCFE with the wrong discount rate.
- **Practice questions:** Part 19, Q6-10, 34-44.

Phase 3 — LBO

- **Learn:** Part 6 in full, twice — once for mechanics, once purely for the "why."
- **Memorize:** the MOIC-to-IRR reference table (6.5); the "1 + paydown/equity" shortcut for flat-EV cases.
- **Practice:** the full Part 7 paper LBO set (11 problems), timed, until beginner problems take under 90 seconds and advanced problems under 5 minutes. Redo the whole set a second time a few days later — spaced repetition matters more than one long session.
- **Should explain without notes:** the full LBO walkthrough (6.1-6.2); why debt paydown creates equity value but not enterprise value (6.7); what happens when the exit multiple is below the entry multiple (6.8).
- **Common weakness:** rushing Sources & Uses, or not being able to decompose a finished LBO back into its three return drivers.
- **Practice questions:** Part 19, Q11-15, 45-56; Part 22 (mini LBO cases).

Phase 4 — Modeling (M&A, cash generation)

- **Learn:** Part 3 and Part 5 — lighter treatment by design (see Part 1.4C on relative priority).
- **Memorize:** the Revenue→FCF bridge (3.2); the accretion/dilution rule of thumb (5.1).
- **Practice:** one full verbal walkthrough of "how does an M&A model differ from an LBO model" until it's fluent; don't over-invest further time here.
- **Should explain without notes:** why EBITDA isn't cash flow, with a number.
- **Practice questions:** Part 19, Q57-63.

Phase 5 — PE Investment Judgment

- **Learn:** Part 8, Part 9, Part 10 — this is the highest-leverage phase for interview outcomes, disproportionate to how much time candidates typically spend on it.
- **Memorize:** the good-target and bad-target frameworks (8.2, 8.3); the leverage-fit distinction (9.1-9.3).
- **Practice:** all four Part 21 case studies cold, including reconstructing the "should not invest" reasoning for Cases 2 and 4 from scratch without re-reading the answer.
- **Should explain without notes:** "would you invest" answered in the answer→drivers→what-would-change-my-mind structure, applied to a company you've never seen before, live.
- **Common weakness:** giving generic praise ("good market, good management") instead of specific, prioritized reasoning; going blank on the "bad target despite fast growth" question specifically.
- **Practice questions:** Part 19, Level 4 (Q16-20), 64-68.

Phase 6 — EQT Research

- **Learn:** Part 14 and Part 15 — and then **re-verify the AUM figures, most recent deal, and any leadership changes within 2-3 days of your actual interview**, since these move quarterly and this handbook has a knowledge cutoff around August 2026.
- **Memorize:** the current AUM figure and segment structure; the Playbook's three pillars; two deals from Part 15 in enough depth to discuss unprompted for 2+ minutes each.
- **Practice:** say "why EQT" and "why this role" out loud, unscripted, until it stops sounding rehearsed; be ready to discuss the Bengaluru role's actual stated responsibilities (14.4), not a generic "analyst duties" answer.
- **Should explain without notes:** at least one real EQT EMEA deal with genuine analytical depth (thesis, risk, exit) — not just headline figures.
- **Common weakness:** citing AUM/scale as the entire "why EQT" answer; not knowing anything more recent than the firm's history.
- **Practice questions:** Part 19, Level 5 (Q21-25), 80-90.

Phase 7 — Deal Experience

- **Learn:** Part 17 — this phase is homework only you can complete.
- **Memorize:** nothing from this handbook — instead, write real, specific, complete answers for every deal on your CV against the Part 17.3 follow-up list.
- **Practice:** the 30-second / 2-minute / 5-minute versions of every CV deal, out loud, recorded if possible.
- **Should explain without notes:** what you personally built or drove on each deal, with real specifics, and a genuine "what would you have done differently."
- **Common weakness:** speaking about deals as "the team did X" rather than "I did X"; a "what would you do differently" answer that's actually a non-answer ("communicate better").

Phase 8 — Mock Interviews

- **Do:** at least 2-3 full mock interviews combining a paper LBO, a 3-statement question, a "would you invest" judgment question, an EQT question, and a CV deal walkthrough — ideally with someone who will actually push back and ask follow-ups, not just let you finish a script.
- **Should explain without notes by the end of this phase:** every item in the Final Standard list from your original brief — walk me through an LBO, a DCF, an M&A model, the three statements linked; what happens if depreciation/working capital changes; what makes a good/bad PE target; how you'd evaluate a company or size a market; why ROIC and ROIC>WACC matter; how debt creates equity value; when leverage does/doesn't matter; what drives LBO returns; how you think about entry valuation; comps distinctions; WACC and FCFF; bolt-ons and multiple arbitrage; why EQT/EQT

EMEA; what EQT invests in and how; a real EQT portfolio company or recent deal; your own deal experience end to end.

- **Final gut-check before the real interview:** for every one of those, can you answer it, take a follow-up that changes one assumption, and keep reasoning out loud without losing the thread? If yes, you're ready — that's the actual bar this entire handbook has been built around.

End of handbook. Good luck — and remember the thesis of Part 1.6 one more time before you walk in: the interviewer isn't grading whether you know the formulas. They're grading whether you'd be a good investor of their capital. Every answer in this document is built to demonstrate that, not just to be technically correct.